

1 AN ACT relating to the disposition of property.

2 ***Be it enacted by the General Assembly of the Commonwealth of Kentucky:***

3 ➔Section 1. KRS 391.010 is amended to read as follows:

4 When a person having right or title to any real estate or inheritance dies intestate as to  
5 such estate, it shall descend in common to his or her kindred, male and female, in the  
6 following order, except as otherwise provided in this chapter:

7 **(1) (a) To his or her surviving spouse as follows:**

8 **1. If there is no surviving descendant of the decedent, the entirety;**

9 **2. If the decedent is survived by one (1) or more descendants, all of**  
10 **whom are also descendants of the surviving spouse, the entirety;**

11 **3. If the decedent is survived by one (1) or more descendants who are not**  
12 **lineal descendants of the surviving spouse, one-half (1/2); or**

13 **4. If the decedent is survived by one (1) or more descendants, all of**  
14 **whom are also descendants of the surviving spouse, and the surviving**  
15 **spouse has one (1) or more descendants who are not descendants of**  
16 **the decedent, one-half (1/2); and**

17 **(b) Any interest in property not passing to his or her surviving spouse under**  
18 **this subsection, or if there is no surviving spouse, as provided in subsections**  
19 **(2) to (6) of this section.**

20 ~~(2)(1)~~ To his or her children and their descendants; if there are none, then

21 ~~(3)(2)~~ To his or her father and mother, if both are living, one (1) moiety each; but if  
22 the father is dead, the mother, if living, shall take the whole estate; if the mother is  
23 dead, the whole estate shall pass to the father; if there is no father or mother, then

24 ~~(4)(3)~~ To his or her brothers and sisters and their descendants; if there are none, then  
25 ~~[(4) To the husband or wife of the intestate; if there are none surviving, then]~~

26 (5) (a) One (1) moiety of the estate shall pass to the paternal and the other to the  
27 maternal ~~kindred, in the following order:~~

- 1       (a) ~~The~~ grandfather and grandmother equally, if both are living; but if one is  
2           dead, the entire moiety shall go to the survivor; if there is no grandfather or  
3           grandmother, then
- 4       (b) To the uncles and aunts and their descendants; if there are none, then
- 5       (c) To the stepchildren of the decedent ~~great-grandfathers and great-~~  
6           ~~grandmothers, in the same manner prescribed for grandfather and~~  
7           ~~grandmother by subsection (a); if there are none, then~~
- 8       (d) ~~To the brothers and sisters of the grandfathers and grandmothers and their~~  
9           ~~descendants; and so on in other cases without end, passing to the nearest lineal~~  
10          ~~ancestors and their descendants].~~
- 11      (6) If there is no ~~such~~ kindred ~~to one of the parents~~ as is described in subsection (5)  
12          of this section, the whole shall vest in the state under KRS 393.020 ~~to go to the~~  
13          ~~kindred of the other. If there is neither paternal nor maternal kindred, the whole~~  
14          ~~shall go to the kindred of the husband or wife, as if he or she had survived the~~  
15          ~~intestate and died entitled to the estate].~~
- 16      ➔ Section 2. KRS 392.020 is amended to read as follows:
- 17      **(1) (a)** After the death of the husband or wife intestate, the survivor shall have, in  
18          addition to his or her share under Section 1 of this Act, an estate ~~in fee of~~  
19          ~~one half (1/2) of the surplus real estate of which the other spouse or anyone~~  
20          ~~for the use of the other spouse, was seized of an estate in fee simple at the~~  
21          ~~time of death, and shall have an estate]~~ for his or her life in one-third (1/3) of  
22          any real estate of which the other spouse or anyone for the use of the other  
23          spouse, was seized of an estate in fee simple during the coverture but not at  
24          the time of death, unless the survivor's right to the ~~such~~ interest has been  
25          barred, forfeited, or relinquished.
- 26      **(b)** The survivor shall also have an absolute estate in one-half (1/2) of the surplus  
27          personalty left by the decedent. Unless the context otherwise requires, any

reference in the statutes of this state to "dower" or "curtesy" shall be deemed to refer to the surviving spouse's interest created by this section.

**(2) Except as otherwise provided in subsection (4) of this section, surplus personalty includes personal property owned by the decedent at death that is:**

**(a) Payable pursuant to a:**

**1. Beneficiary designation;**

**2. Transfer on death designation; or**

**3. Payable on death designation, including retirement accounts whether designated as an individual retirement account or otherwise; or**

**(b) Jointly owned with right of survivorship to another person.**

**(3) The surviving spouse's share of the decedent's surplus personalty shall be credited with any property described in subsection (2) of this section received by the surviving spouse at the decedent's death, less the amount of payment made for the decedent's funeral and burial expenses as confirmed by receipt of payment, or by contract or other written document of obligation for payment.**

**(4) (a) Surplus personalty shall not include the death benefit payable on any life insurance policy insuring the life of the decedent;**

**(b) Life insurance proceeds payable to the surviving spouse shall be credited against the surviving spouse's share of the decedent's surplus personalty; and**

**(c) Life insurance proceeds payable to a trust of which the surviving spouse is a beneficiary shall be credited against the surviving spouse's share of the decedent's surplus personalty in an amount determined under subsection (7) of this section.**

**(5) Surplus real estate and surplus personalty include all property held by or payable at the decedent's death:**

**(a) To a trust over which the decedent held at the time of death a power of**

1 revocation; and

2 (b) Over which the decedent held at the time of death a general power of  
3 appointment as defined in KRS 390.020.

4 (6) Property of any kind transferred by the decedent to a person or trust, other than a  
5 trust for the benefit of the surviving spouse, the decedent, or a qualified  
6 charitable organization two (2) years or more prior to death, is not surplus  
7 personalty and is not surplus real estate. Property of any kind transferred by the  
8 decedent to a person or trust less than two (2) years prior to death is surplus  
9 personalty or surplus real estate.

10 (7) Property of any kind transferred prior to the decedent's death and held at the  
11 decedent's death by a trust created by the decedent and of which the surviving  
12 spouse is a beneficiary shall be:

13 (a) Deemed surplus personalty or surplus real estate as applicable; and

14 (b) Credited against the surviving spouse's share of the decedent's surplus real  
15 estate and surplus personalty, in an amount computed under 26 U.S.C. sec.  
16 7520.

17 (8) The surviving spouse may bring an action against any person receiving property  
18 that is part of the surplus real estate or surplus personalty as necessary to satisfy  
19 the dower or curtesy claim of the surviving spouse with respect to that property.

20 ➔ Section 3. KRS 394.300 is amended to read as follows:

21 (1) (a) Every will~~[- or authenticated copy]~~ admitted to probate~~[- record]~~ by any court  
22 shall be recorded by the county clerk, and shall remain in the~~[- his]~~ office of  
23 the county clerk~~[-]~~ except:

24 1. During such time as it may be carried to another court under subpoena  
25 duces tecum; or

26 2. As provided in paragraph (d) of this subsection.

27 (b) For any will recorded on or after January 1, 2027, the county clerk shall

1       return the will to the person designated in the order admitting the will to  
2       probate no earlier than two (2) years after it has been recorded by the  
3       county clerk.

4       (c) Any will recorded with the county clerk after January 1, 1978, and prior to  
5       January 1, 2027, that remains in the office of the county clerk may be  
6       destroyed or returned to either the person designated in the order admitting  
7       the will to probate or the person appointed as the executor or executrix of  
8       the decedent's estate no earlier than ten (10) years after the date of  
9       recording.

10       (d) Upon receipt of any notice required under KRS 394.240, the county clerk  
11       shall not return a will under paragraph (b) or (c) of this subsection until:

12       1. The adversarial proceeding is final and nonappealable; or

13       2. Authorized by a court of competent jurisdiction.

14       (e) Any attempted return of a will under paragraph (b) or (c) of this subsection  
15       that is:

16       1. Returned to the county clerk as undeliverable; or

17       2. Precluded due to insufficient information regarding an address or to  
18       whom the will should be returned;

19       may be destroyed.

20       (2) (a) A will probated in the court of one Kentucky county and recorded in the  
21       office of the county clerk for that county may be recorded in the office of the  
22       county clerk for other counties without the process of probate in the other  
23       county.

24       (b) Production of an attested copy of the will together with an attested copy of the  
25       order of probate shall be required by the county clerk of the other county  
26       before recordation.

27       (c) The clerk shall make the same charge for recordation as is otherwise provided

1 for recording a will.

2 ➔ Section 4. KRS 395.015 is amended to read as follows:

- 3 (1) Before being appointed as executor, administrator, curator, or administrator with  
4 the will annexed, every person shall make and file in duplicate a written application  
5 **for appointment** under oath, which **shall include:**~~[must state]~~
- 6 **(a)** The names of the deceased's surviving spouse and all of his **or her** heirs-at-  
7 law~~[or such]~~ as are known, **and the United States postal address and**  
8 **electronic mail**~~[their post office]~~ address **of each** if known;~~[,]~~
- 9 **(b)** The date of death;~~[and also a statement in general terms as to what the estate~~  
10 ~~consists of and the probable value of the personal and real estate and also]~~
- 11 **(c)** A statement of any indebtedness owing by the applicant to the deceased;
- 12 **(d) If the decedent died testate, the name and address of the person to whom**  
13 **any will admitted to probate and recorded with the county clerk is to be**  
14 **returned under Section 3 of this Act; and**
- 15 **(e) An acknowledgment by the person seeking appointment as executor,**  
16 **administrator, curator, or administrator with the will annexed in**  
17 **substantially the following form:**
- 18 **"Upon appointment, I agree to faithfully execute the duties required by law,**  
19 **and such additional duties ordered by the court, and that I am subject to**  
20 **removal as a fiduciary if I fail to perform the required duties, and subject to**  
21 **possible civil and criminal penalties for improper conversion of any**  
22 **property I hold as a fiduciary."**
- 23 **(2) (a) If the decedent died testate, the decedent's will shall be presented to the**  
24 **court prior to or at the time of any appointment.**
- 25 **(b) After the will is admitted to probate, the clerk of the court shall:**
- 26 **1. Collect the fee required by the county clerk under Section 58 of this**  
27 **Act for the filing of a will and the tax required under Section 59 of this**

1                   Act; and

2                   2. Deliver the following to the county clerk:

3                   a. The will and a certified copy of the order admitting the will to  
4                   probate, which shall include the name and address of the person  
5                   to whom the will is to be returned as provided under Section 3 of  
6                   this Act; and

7                   b. The filing fee and tax collected under subparagraph 1. of this  
8                   paragraph.

9                   (3) (a) A written general financial disclosure statement of the property of the  
10                   decedent, to the extent known, shall be filed separately at the time of filing  
11                   the application for appointment.

12                   (b) The general financial disclosure statement shall comply with the  
13                   requirements in subsection (4) of this section and shall include the  
14                   approximate value, determined in good faith, of all real and personal  
15                   property known by the applicant which may include:

16                   1. Furniture and household goods;

17                   2. Personal effects, including jewelry and collectibles;

18                   3. Stocks, bonds, bank accounts, and retirement accounts that do not  
19                   constitute a nontestamentary transfer on death as provided in KRS  
20                   391.360;

21                   4. Insurance policies if payable to the estate of the decedent;

22                   5. Real property that is not held in joint ownership with another with  
23                   right of survivorship; and

24                   6. Any other personal property accurately identified, including the  
25                   decedent's share in any partnership or ownership in any other entity.

26                   (c) The general financial disclosure statement shall be confidential, placed  
27                   under seal when filed, and disclosed only:

- 1           1. To the personal representative;
- 2           2. To the personal representative's attorney;
- 3           3. To any beneficiary or heir at law;
- 4           4. As required under subsection (9) of this section and Section 13 of this  
5           Act; or
- 6           5. By order of the court upon a showing of good cause that shall include  
7           a creditor who has filed a verified statement of claim against the  
8           estate.
- 9       (d) As used in paragraph (c) of this subsection, and in subsection (7) of Section  
10       13 of this Act, a finding of good cause shall not:
  - 11           1. Be based solely on the position of the decedent as a public official,  
12           public figure, or other person who has drawn substantial public  
13           attention due to the person's official acts, fame, notoriety, or celebrity;  
14           or
  - 15           2. Be made if the release of the protected information would constitute a  
16           clearly unwarranted invasion or exploitation of personal privacy or  
17           proprietary interests of a beneficiary of the estate or an heir at law  
18           without substantial evidence of irreparable harm or material financial  
19           loss if release of the requested information to the requesting party is  
20           denied.
- 21       (4) The application for appointment and the general financial disclosure statement  
22       shall be signed and dated by the person seeking the appointment and the  
23       acknowledgment required under subsections (1) and (3) of this section may be  
24       satisfied, with like force and effect, by a written and dated declaration under the  
25       penalty of perjury, in substantially the following form:  
26       "I declare under the penalties of perjury of the laws of the Commonwealth of  
27       Kentucky, which may include a fine or imprisonment, that the foregoing is true



1 and correct."

2 (5) If~~[The foregoing requirement in respect to names and addresses of heirs at law may~~  
3 ~~be omitted when]~~ the application for appointment is being made by the executor  
4 named in the will, the names and addresses of the heirs at law may be omitted  
5 unless requested by the court.

6 (6) The application of a nonresident shall include the designation of a resident of the  
7 county where probate or administration is pending as his or her agent for the  
8 service of process in any action against him or her as personal representative or  
9 personally, provided that the~~[such]~~ personal action must have accrued in the  
10 administration of the estate~~[. A duplicate copy of said application shall be mailed by~~  
11 ~~the clerk to the secretary of revenue of the State of Kentucky].~~

12 (7) (a) Except as provided in paragraph (b) of this subsection, the court shall set a  
13 time for hearing the application for appointment when:

14 1. ~~[(2) In the case of intestacy, or where ]~~An administrator with will  
15 annexed or de bonis non is to be appointed and there is~~[, if there be ]~~ no  
16 surviving spouse; or~~[, or if such ]~~

17 2. The surviving spouse waives the right of appointment or is not qualified  
18 to act and does not nominate a suitable administrator, and there is more  
19 than one (1) resident heir-at-law entitled to appointment~~[, the court shall~~  
20 ~~thereupon set a time for hearing such application].~~

21 (b) No hearing shall be required under paragraph (a)2. of this subsection if the  
22 surviving spouse and all of the known heirs at law have executed a waiver  
23 of the right to a hearing.

24 (c) Notice of any~~[said]~~ hearing set under this subsection shall be given to the  
25 surviving spouse and all known heirs of the deceased residing in the state, or  
26 elsewhere, in the manner provided in KRS 395.016.

27 (8) Upon receipt of the filings and presentation of the will as required under this

1 section, the court, in its discretion, shall determine if a hearing on the application  
2 for the appointment of a fiduciary is required.

3 (9) The clerk of the court shall transmit a copy of the application and general  
4 financial disclosure statement to the commissioner of the Department of  
5 Revenue.

6 ➔ Section 5. KRS 395.016 is amended to read as follows:

7 (1) (a) When a hearing is ordered by the court, notice of the hearing ~~on~~~~of~~ an  
8 application for the appointment of a fiduciary, or petition for the probate of a  
9 will, ~~an administrator, administrator with will annexed or guardian is required~~  
10 ~~, it~~ shall be given by mailing written notice of the time, place, and purpose of  
11 ~~the~~~~such~~ hearing at least five (5) days before ~~the~~~~said~~ hearing.

12 (b) Proof of ~~such~~ notice shall be by:

13 1. Certified mail, return receipt requested; ~~or by~~

14 2. The applicant's written and dated declaration in conformity with the  
15 requirements of a declaration under subsection (4) of Section 4 of this  
16 Act~~[affidavit]~~ that notice of the hearing~~[the same]~~ was mailed to each  
17 of the parties~~[entitled thereto]~~ in a sealed envelope, postage prepaid,  
18 and the date when posted, ~~[which]~~

19 (c) Proof of notice shall be filed at the time of the hearing.

20 (2) If all parties entitled to notice are under no disability and waive notice in writing,  
21 the court may hear ~~the~~~~such~~ application as if notice had been given. The waiver of  
22 notice may be filed before or at the time of the hearing.

23 (3) A minor over fourteen (14) years of age may waive notice of the hearing if he or  
24 she is present in person at the ~~time of~~ hearing, ~~of application for appointment of~~  
25 ~~his guardian; provided, however]~~

26 (4) In any estate where the gross amount involved is less than five thousand dollars  
27 (\$5,000) the court, in its discretion, may dispense with the notice requirements of

1 this section~~[relating to notice]~~.

2 ➔Section 6. KRS 395.020 is amended to read as follows:

3 **(1)** The person named in a will as executor shall not act as executor to any extent until:

4 **(a)** The will or an authenticated copy of the will is admitted to **probate**~~;~~~~record,~~  
5 ~~and~~

6 **(b)** He **or she** has **presented an** executed **surety** bond **when required under**  
7 **Section 11 of this Act**; and

8 **(c)** **He or she has** taken **an** oath in the court in which the record is made, **or if no**  
9 **hearing is required by the court for appointment, has filed with the court in**  
10 **which the record is made the declaration executed under penalty of perjury**  
11 **in accordance with Section 10 of this Act.**

12 **(2)** **The person named in a will as executor**~~[He]~~ may, however, provide for the burial  
13 of the testator, pay the reasonable funeral expenses, and take care of and preserve  
14 the estate.

15 ➔Section 7. KRS 395.050 is amended to read as follows:

16 (1) If no executor is appointed by the will, or if all the executors named in the will die,  
17 refuse the executorship, or fail to **provide surety**~~[give]~~ bond **if required by the**  
18 **court**, the court may grant administration with the will annexed to the person who  
19 would have been entitled to administration if there had been no will, but ~~a~~~~no~~  
20 person **whose interests are antagonistic to the provisions of the will** shall **not** be  
21 eligible to appointment as administrator with the will annexed~~[whose interests are~~  
22 ~~antagonistic to the provisions of the will]~~. Failure to **provide surety**~~[give]~~ bond  
23 **when required by the court** shall amount to refusal to act as executor.

24 (2) An administrator with the will annexed shall possess and exercise all power and  
25 authority, have the same rights and interest, and be responsible in like manner as the  
26 executors named in it.

27 ➔Section 8. KRS 395.080 is amended to read as follows:

1 If all the persons nominated as executors are under the age of eighteen (18) at the time of  
2 probating the will, or those who are of age fail to qualify, administration with the will  
3 annexed may be granted during~~[such]~~ minority. ~~[But]~~ If a testator, by his or her will, so  
4 directs, however, then the~~[such]~~ infant executor may qualify and, if required by the  
5 court, give surety bond as an adult.

6 ➔ Section 9. KRS 395.105 is amended to read as follows:

7 (1) Every fiduciary, before entering upon the execution of the trust, shall receive letters  
8 of appointment from the District Court having jurisdiction as~~[now]~~ fixed by law.

9 (2) The duties of a fiduciary shall be those~~[such as are]~~ required by law, and any~~[such]~~  
10 additional duties~~[not inconsistent therewith]~~ as the court may order.

11 (3) The appointment of the personal representative shall be effective upon~~[with]~~ the  
12 signing of an order by the judge, the presentation to the clerk of an executed  
13 surety bond when required under Section 11 of this Act, and either the  
14 administration of any oaths required in Section 10 of this Act, or the filing of the  
15 declaration in Section 10 of this Act if no hearing is required.

16 ➔ Section 10. KRS 395.120 is amended to read as follows:

17 (1) If the court requires a hearing for the appointment of the fiduciary, each  
18 executor, administrator,~~[and]~~ curator, and administrator with the will annexed or  
19 de bonis non shall take an oath before the court in which the application for  
20 appointment is made to faithfully perform the duties of his or her office to the best  
21 of his or her judgment.

22 (2) (a) The oaths required of the executor, administrator, curator, and  
23 administrator with the will annexed or de bonis non may be satisfied by  
24 execution of the following declaration:

25 "1. I, the undersigned, agree to faithfully perform the duties of the office  
26 as required by law, including but not limited to:

27 a. Deposit all funds which come into my hands in a lawful

1 depository located within this Commonwealth and provide  
2 canceled checks as may be required to prove accounts;

3 b. Keep estate funds in separate estate accounts at all times during  
4 the administration of the estate;

5 c. Invest all funds in a lawful manner;

6 d. Make and file all required documents when due as required by  
7 law;

8 e. File all tax documents as required by law;

9 f. Maintain adequate insurance to reasonably protect any property  
10 that I may hold as a fiduciary; and

11 g. Obey all orders of the court;

12 2. I, the undersigned, understand I am subject to removal as the  
13 fiduciary if I fail to perform the duties required of me under the laws  
14 of this state and that I am subject to possible fines, and civil and  
15 criminal penalties for improper conversion of the property that I hold  
16 as fiduciary; and

17 3. If applicable, I, the undersigned, declare that my intestate, so far as I  
18 know or believe, died without leaving a will."

19 (b) The oath sworn or affirmed in the presence of a notary public, or the  
20 declaration if authorized by the court, shall be presented to the appropriate  
21 clerk of the court with the fiduciary's application for appointment

22 ~~administrator shall also take an oath that his intestate, so far as he knows or~~  
23 ~~believes, died without leaving a will].~~

24 ➔ Section 11. KRS 395.130 is amended to read as follows:

25 (1) No bond shall be required of a personal representative appointed under this  
26 chapter except as provided in subsection (2) of this section.

27 (2) The court shall order a surety bond of a personal representative appointed under

1 this chapter when the:

2 (a) Appointment is of a public administrator under Section 16 of this Act or a  
3 curator under Section 19 of this Act; or

4 (b) Court, in its discretion, determines that a surety bond is required to  
5 adequately protect all interests in the estate. In exercising its discretion  
6 under this paragraph, the court may consider the:

7 1. Expression of intent of the testator under a will or trust; however,  
8 notwithstanding any other law to the contrary, the court shall not be  
9 bound by the expressed intent; and

10 2. Experience of the personal representative, including whether or not  
11 the personal representative is acting as a fiduciary in any other matter.

12 (3) (a) Every fiduciary of whom surety bond is required under subsection (2) of this  
13 section~~[, except as provided in KRS 286.3-220 and 386B.7-020,]~~ shall  
14 provide the surety bond as ordered by the court~~[on his bond unless, on the~~  
15 ~~petition of any interested party, the court upon being satisfied that all interests~~  
16 ~~are adequately protected excuses the requirement of a surety, or unless, by the~~  
17 ~~terms of the will or trust, surety is not required. Subsequent to the~~  
18 ~~qualification of a fiduciary and]~~

19 (b) On motion of any interested party the court may:

20 1. Reduce or increase the amount of the surety bond;~~[, release the surety,]~~  
21 or

22 2. Permit the substitution of another surety bond with the same or different  
23 sureties.

24 (4) If an executor does not give surety bond when required to do so, he or she shall not  
25 be authorized to act as executor~~[permitted to qualify]~~, and, if he or she has already  
26 been appointed~~[qualified, he]~~ shall be removed.

27 (5) [(2)] Whenever any personal representative, guardian, conservator, or fiduciary

1 who is required by law to execute a surety bond for the faithful discharge of his or  
2 her duties or fulfillment of his or her trust, procures as surety on his or her bond an  
3 incorporated surety company authorized to do business in this state, the necessary  
4 and reasonable cost incident to the surety bond shall be a lawful charge against the  
5 estate in the hands of the fiduciary, as other expenses of administration, and in his  
6 or her settlement the fiduciary shall be entitled to credit by the amount actually paid  
7 by him or her for that purpose, subject to the approval of the court which has  
8 approved the surety bond.

9 ➔ Section 12. KRS 395.140 is amended to read as follows:

10 (1) *A fiduciary required to execute a surety bond shall deliver to the clerk of the*  
11 *court of the county in which he or she is appointed a surety bond payable to and*  
12 *with the Commonwealth, subscribed to by the principal and sureties in the*  
13 *presence of a notary, in the amount, and with sufficient sureties, as may be*  
14 *approved by the court in its order of appointment.*

15 (2) The District Court shall not accept as surety, in any surety bond of a personal  
16 representative, any master or other commissioner whose duty is to settle the  
17 accounts of personal representatives, or any judge or clerk of a District Court or  
18 practicing attorney of that court.

19 (3)~~(2)~~ The surety bond shall be filed~~[subscribed by the principal and sureties,~~  
20 ~~approved by the court, attested by the clerk of the court and carefully kept]~~ by the  
21 clerk in his or her office in a record maintained~~[book to be provided]~~ for that  
22 purpose.

23 ➔ Section 13. KRS 395.250 is amended to read as follows:

24 (1) (a) It shall be the duty of a personal representative of a decedent to file~~[return]~~ an  
25 inventory~~[in duplicate]~~ no later than ninety (90) days~~[within two (2) months]~~  
26 from the time of qualifying as personal representative~~[such, to the clerk's~~  
27 ~~office of the court in which he qualified,]~~

1       **(b)** The inventory~~[original of which]~~ shall be confidential except as provided in  
2       subsection (2)(a) of this section, and shall be placed under seal when filed.  
3       The clerk of the court shall transmit a copy of the inventory~~[recorded by the~~  
4       ~~clerk and the duplicate shall be mailed by the clerk]~~ to the  
5       commissioner~~[secretary]~~ of the Department of Revenue.

6       **(2) (a)** It shall be the duty of the personal representative of a decedent to furnish a  
7       filed copy of the inventory required under subsection (1) of this section to  
8       any person authorized under subsection (3)(c) of Section 4 of this Act who  
9       has requested a copy, or to whom the court has ordered disclosure of assets  
10       and liabilities.

11       **(b)** No person or entity authorized under subsection (3)(c) of Section 4 of this  
12       Act or by the court to receive records under seal, including the inventory  
13       filed under this section, shall copy, reproduce, or in any way release any  
14       information contained in the records without specific authorization from  
15       the court in which the personal representative qualified. Violation of this  
16       paragraph shall be a basis for a finding of contempt of court.

17       **(3)** Copies from the record of the inventory or appraisal shall be prima facie  
18       evidence for or against the personal~~[such]~~ representative when required and  
19       approved for release by the court for that purpose.

20       **(4)** If any property not included in the initial inventory comes to the knowledge of the  
21       personal representative, or if the personal representative learns that the value or  
22       description of any item listed in the initial inventory is erroneous or misleading,  
23       the personal representative shall file an amended inventory with the court.

24       **(5) (a)** If the personal representative has cause to believe that any of the assets of  
25       the estate are concealed or wrongfully withheld from the personal  
26       representative, or that any person has in his or her possession or under his  
27       or her control any records, books, documents, or related information



1 concerning withheld assets or the ownership of withheld assets, the personal  
2 representative shall petition the court before which the estate action is  
3 pending for an order compelling discovery of the required information.

4 (b) All parties named in the petition may be compelled to provide under oath  
5 either by response to the petition or by personal testimony to the court, all  
6 the facts known to them concerning the assets of the estate and any adverse  
7 claims relating to the assets of the estate.

8 (c) If the court finds that any person has property or assets of the estate to  
9 which there is no adverse claim, the court shall direct the property or asset  
10 be delivered to the personal representative who shall account for the  
11 property or asset in an amended inventory filed with the court no later than  
12 twenty (20) days following entry of the court's order.

13 (6) Any settlement ordered or filed under this chapter shall be filed in compliance  
14 with the confidentiality provisions in subsections (1) and (2) of this section.

15 (7) Additional documents containing information regarding the assets or value of the  
16 decedent's estate shall not be ordered to be filed except upon motion with good  
17 cause shown, and any document filed under this section shall be in compliance  
18 with the confidentiality provisions in subsections (1) and (2) of this section.

19 (8) Failure to timely file any inventory when due shall be subject to the penalties in  
20 Sections 14 and 30 of this Act.

21 ➔Section 14. KRS 395.255 is amended to read as follows:

22 (1) It shall be the duty of the clerk of the court to report to the judge once each  
23 month the names and addresses of all fiduciaries who failed to submit an  
24 inventory or settlement due according to law during the previous calendar month.

25 (2) The judge shall notify the fiduciaries reported under subsection (1) of this section  
26 of their failure to file an inventory or settlement and shall warn them of the  
27 penalties provided by law.

1 **(3)** If a fiduciary neglects or refuses to file an inventory or **settlement**~~[account]~~ when  
2 due according to law, or when ordered by the court, the court shall notify the  
3 fiduciary of his **or her** delinquency and fix a date when **the**~~[such]~~ inventory or  
4 **settlement shall**~~[account must]~~ be filed.~~[Unless there is pending in the circuit court~~  
5 ~~a suit to settle the estate such neglect or refusal shall be grounds for removal by the~~  
6 ~~court.]~~

7 **(4) (a)** If the fiduciary fails to file **the inventory or settlement by the extended date**  
8 **ordered by the court**~~[such account within thirty days after the date fixed in~~  
9 ~~said notice], **the court shall enter an order for the fiduciary to appear before**~~  
10 **the court to show cause why he or she should not be found to have breached**  
11 **his or her fiduciary duty and be:**

- 12 **1. Removed from service as a fiduciary;**  
13 **2. Found in contempt of court;**  
14 **3. Fined in accordance with Section 30 of this Act;**  
15 **4. Denied any**~~[no]~~ allowance~~[shall be made]~~ for his **or her** services; **or**  
16 **5. Be subject to any other penalty authorized by law for breach of a**  
17 **fiduciary duty**~~[unless the court enters upon its minutes an order that~~  
18 ~~such delay was justified].~~

19 **(b) Failure to appear at a show cause hearing under this subsection shall result**  
20 **in automatic removal from service as a fiduciary.**

21 **(5) The time for filing an inventory or settlement under this section shall not be**  
22 **extended by more than thirty (30) days following a hearing:**

23 **(a) Unless there is pending in Circuit Court a suit to settle the estate; or**

24 **(b) Upon good cause shown by the fiduciary.**

25 ➔Section 15. KRS 395.300 is amended to read as follows:

26 An administrator de bonis non or any other successor appointed in the place of a personal  
27 representative who has resigned,~~[or]~~ has been removed,~~[or]~~ whose letters have been

1 revoked,~~[or who]~~ has ceased to act, or has died, may maintain an action against the  
2 former personal representative and the sureties on the administration surety bond, if any,  
3 and against the predecessor's real and personal representatives, for all damages or debts  
4 arising from the maladministration or omission of the predecessor.

5 ➔Section 16. KRS 395.380 is amended to read as follows:

6 (1) The District Court of each county shall appoint a discreet, qualified~~[fit]~~ person to  
7 act as administrator of decedents' estates of which there is no personal  
8 representative, and as guardian of orphans who have no guardian.

9 (2) The public administrator or guardian appointed under this section:~~[He]~~

10 (a) Shall serve at the discretion of the District Court;~~[.]~~

11 (b)~~(3) — [He]~~ Shall be sworn and execute bond with good surety to the state for  
12 the faithful discharge of his or her duties;~~[.]~~ and

13 (c) Upon being duly sworn and executing surety bond~~[when so sworn with bond~~  
14 ~~so executed]~~, shall be accepted by the court in every estate in which the public  
15 administrator is appointed without the necessity of additional surety.

16 ➔Section 17. KRS 395.390 is amended to read as follows:

17 (1) (a) The District Court of a county which has a public administrator and guardian  
18 shall, after the expiration of sixty (60) days from the death of the decedent,  
19 order the public administrator and guardian to administer the estate of the  
20 decedent where:

21 1. The surviving spouse and heirs waive their right to be appointed;~~[or if]~~

22 2. The surviving spouse does not nominate a suitable administrator;~~[or in~~  
23 ~~the event]~~

24 3. Any of the persons designated in KRS 395.040 are unable~~[.]~~ or found to  
25 be incapable of handling or managing the estate;~~[.]~~ or

26 4. ~~[If]~~From any other cause there is no personal representative.

27 (b) If there is no public administrator and guardian, the court shall use its

1            **discretion to appoint an administrator**~~[order the sheriff]~~ to administer the  
2            estate.

3        (2) **(a)** The District Court shall also confide to the public administrator and guardian  
4            the care and control of the persons and estates of all minors when it appears  
5            that a minor has no testamentary guardian and no one will apply for  
6            appointment, or serve, as guardian.

7            **(b) If there is no public administrator and guardian, the court shall use its**  
8            **discretion to appoint a guardian to serve under this subsection.**

9            ➔Section 18. KRS 395.400 is amended to read as follows:

10        **(1)** The public administrator and guardian or **person appointed under Section 17 of**  
11            **this Act**~~[sheriff]~~ shall, by~~[virtue of his office and the]~~ order of **the** court, be the  
12            administrator or administrator de bonis non, or if there is a will, administrator with  
13            the will annexed, and shall have all the rights and powers,~~[and]~~ be subjected to the  
14            same liabilities, and be governed by the same laws prescribed for administrators  
15            and guardians.~~[If the sheriff is acting, his powers, rights, duties and liabilities shall~~  
16            ~~not expire with his office of sheriff.]~~

17        **(2)** The court may, however, at any time, set aside the order entrusting the estate to the  
18            public administrator and guardian or **person appointed under Section 17 of this**  
19            **Act**~~[sheriff]~~ and allow an executor or administrator to qualify.

20            ➔Section 19. KRS 395.410 is amended to read as follows:

21        (1) During the contest about the probate of a will, or when the court for any valid cause  
22            is delayed in granting letters testamentary or **of** administration, it may appoint a  
23            curator to collect and preserve the estate of the decedent until probate of the will is  
24            granted, or until the cause for which the order was made is removed.

25        (2) When any resident of this state or person owning property in this state has been  
26            absent from his **or her** last known place of residence for a period of one (1) year  
27            and is not known to have been living during that time, the District Court of any

1 county in which a personal representative could be appointed for that person's estate  
2 if deceased, may appoint a curator to collect and preserve the estate of that absent  
3 person.

4 (3) The court shall take a surety bond payable to and with the Commonwealth~~[with~~  
5 ~~good surety]~~ from the person appointed curator. The surety bond shall be  
6 subscribed to by the principal and sureties in the presence of a notary or as may  
7 be otherwise authorized by the court, for the full and faithful performance of the  
8 trust confided in him or her.

9 (4) The surety bond shall be kept by the clerk of the court in his or her office in a  
10 record to be maintained for that purpose.

11 ➔Section 20. KRS 395.455 is amended to read as follows:

12 (1) Where the exemption ~~for~~~~[of]~~ the surviving spouse or children, alone~~[,]~~ or together  
13 with preferred claims, paid by either the surviving spouse or children or by the  
14 surviving spouse where the surviving spouse's~~[a widow or by the widower where~~  
15 ~~the wife's]~~ estate is legally liable for payment, equals or exceeds the amount of  
16 distributable~~[probable]~~ assets, the court may order that administration of the  
17 estate be dispensed with and the~~[such]~~ assets be transferred to the surviving spouse  
18 or, if there is no surviving spouse, to the surviving children, or to a person  
19 designated by the~~[such]~~ surviving spouse~~[to receive all or part of such assets]~~. The  
20 court may~~[so]~~ order that administration of the estate be dispensed with in both  
21 testate and intestate estates~~[and]~~ without requiring the renunciation of a will~~[or the~~  
22 ~~giving of bond]~~.

23 (2) If the court is satisfied that no distributable~~[probable]~~ estate will pass through the  
24 hands of the personal representative, it may order that no letters of administration  
25 be issued and in the case of a testate estate, order that the will be probated only.

26 (3) The court may order that the administration of the estate be dispensed with and  
27 the assets transferred in favor of a preferred creditor or other person where:

1        **(a)** A surviving spouse **or, if there is no surviving spouse, the surviving children**  
 2        **have**~~[has]~~ waived~~[his or her right to]~~ the exemption accorded by law in favor  
 3        of a person who has paid preferred claims in an amount **equaling**~~[equalling]~~  
 4        or exceeding the amount of **distributable**~~[probable]~~ assets or who is legally  
 5        entitled to~~[such]~~ payment~~;~~~~[,]~~ or

6        **(b)** ~~[where]~~ There is no surviving spouse **or surviving children,** and  
 7        **another**~~[such]~~ person has **paid preferred claims**~~[made such payment]~~ or is  
 8        legally entitled **to payment**~~[thereto, the court may order that the~~  
 9        ~~administration of the estate be dispensed with and such assets transferred to~~  
 10        ~~such person. The court may so order without requiring the giving of bond].~~

11        (4) For purpose of this section, the exemption ~~for~~~~[of]~~ the surviving spouse **and**  
 12        **children shall be the**~~[is such]~~ exemption~~[as has been]~~ created by KRS 391.030,  
 13        and preferred claims **shall be**~~[are]~~ those listed in KRS 396.095 and in the order  
 14        **listed**~~[thereof]~~.

15        ➔ Section 21. KRS 395.470 is amended to read as follows:

16        (1) Administration of the estate of a person dying **testate or** intestate may be dispensed  
 17        with by agreement if:

18        **(a)** There are no debts owing by the estate;

19        **(b)** All **beneficiaries**~~[persons beneficially]~~ entitled to the personal estate have  
 20        agreed in writing, **under penalty of perjury,** that there shall be no **further**  
 21        administration, **and if applicable, have designated a trustee with power to**  
 22        **collect claims and demands;**

23        **(c)** **Advertisement has occurred as required in subsection (7) of this section, as**  
 24        **evidenced by an acknowledgment under penalty of perjury;**

25        **(d)** **Provision has been made for the state inheritance tax and the federal estate**  
 26        **tax, if any;** and

27        **(e)** ~~[Either]~~ There are no claims or demands due the estate, **if no trustee has been**

1           ~~designated by agreement~~~~[or the written agreement to dispense with~~  
 2           ~~administration designates a trustee with power to collect claims and~~  
 3           ~~demands]~~.

4       (2) (a) The written agreement ~~required~~~~[provided]~~ in subsection (1)~~(b) of this section~~  
 5           shall be acknowledged under penalty of perjury by the beneficiaries; and  
 6           (b) The agreements of all beneficiaries shall be~~[parties and]~~ filed in the District  
 7           Court together with the motion~~[of the parties]~~ for an order dispensing with  
 8           administration by agreement.

9       (3) An agreement prescribed in subsection (1)(b) of this section shall be effective if it  
 10           is executed by a person who had authority to contract on behalf of a beneficiary  
 11           when signed.

12       (4) A motion to dispense with administration by agreement may be filed at any time  
 13           after:

14           (a) Probate of the will, if any;

15           (b) Appointment of a personal representative; and

16           (c) Advertisement for creditors as required under this section.

17       (5) If the court is satisfied by the agreements~~[affidavit or otherwise]~~ that the conditions  
 18           prescribed in subsection (1) of this section exist, the court~~[it]~~ shall enter an order  
 19           dispensing with any further administration by agreement.

20       (6) If the motion and the agreements~~[written agreement]~~ of the beneficiaries  
 21           designate~~[designates]~~ a trustee to collect claims or demands, the order shall confirm  
 22           the designation, and the person~~[so]~~ designated as the trustee shall have the same  
 23           right to sue for and collect claims and demands as~~[that]~~ an administrator appointed  
 24           under this chapter~~[has]~~.

25       ~~(3) The District Court shall be satisfied that provision has been made for the state~~  
 26           ~~inheritance tax and the United States estate tax].~~

27       (7) (a) (4) Prior to moving to dispense with administration by agreement, the

1            **beneficiaries**~~[persons applying for an order dispensing with administration]~~  
2            shall advertise for creditors of the **estate**~~[intestate]~~ to appear and present  
3            **any**~~[their]~~ claims to some person at the county seat. The person and place  
4            shall be designated in the advertisement.

5            **(b)** The advertisement shall also give notice **of** when, where, and by whom the  
6            order dispensing with administration **by agreement** will be applied for.

7            **(c)** The advertisement shall be posted at the courthouse door for six (6) weeks~~[,]~~  
8            and published pursuant to KRS Chapter 424.~~[The order dispensing with~~  
9            ~~administration shall not be granted until the persons applying for the order file~~  
10           ~~in the District Court the affidavit of one (1) of them showing that~~  
11           ~~advertisement for creditors has been made.]~~

12          **(8)(5)** The **court may order that the beneficiaries**~~[persons]~~ applying for the order  
13          dispensing with administration **by agreement**~~[shall]~~, before the order is entered,  
14          **execute a surety**~~[give]~~ bond~~[with surety]~~ in the amount of the personal estate for  
15          the benefit of any creditors who, within six (6) months from the order dispensing  
16          with administration **by agreement**, appear and file their claims with the court clerk.  
17          This **surety** bond shall be approved by the District Court and shall run to the state  
18          for the benefit of those creditors and be conditioned to be void if none of them files  
19          **a**~~[his]~~ claim with the clerk within six (6) months from the date of the order  
20          dispensing with administration **by agreement**.

21          ➔Section 22. KRS 395.605 is amended to read as follows:

22          (1) Upon the~~[sworn]~~ application of any fiduciary, **under penalty of perjury**, that the  
23          fiduciary is the sole beneficiary of any estate, the court may dispense with the  
24          requirements of this chapter regarding~~[periodic or final]~~ settlement of fiduciaries'  
25          accounts~~[and may dispense with the requirements of a surety for the fiduciary]~~ and  
26          shall accept from the fiduciary an informal **final** settlement **if:**

27          **(a)** ~~[The informal settlement shall be made, under oath, by the fiduciary and~~



1 ~~shall state that~~ The estate was solvent; ~~that~~

2 **(b)** All legal claims and debts have been paid, or if not paid, the manner in which  
3 the claims and debts have been provided for;

4 **(c)** ~~that, for final settlement,~~ The requirements of the inheritance, estate, or  
5 similar death statutes have been met and the tax paid, if due and payable;

6 **(d)** ~~that~~ All court costs have been paid;

7 **(e)** The name of the attorney(s), if any, representing the fiduciary, and the amount  
8 of the attorney's fee ***have been provided;***~~;~~ and

9 **(f)** ~~that~~ The beneficiary has received his or her share~~. An informal settlement~~  
10 ~~may be filed at any time after expiration of six (6) months from the fiduciary's~~  
11 ~~appointment. Upon the filing of the informal final settlement, the court may~~  
12 ~~enter an order discharging the fiduciary, and his or her surety, if any. When a~~  
13 ~~settlement is effected in the informal manner, no notice to any person shall be~~  
14 ~~required nor shall the court be compelled to inquire into detailed items of~~  
15 ~~income or disbursements].~~

16 (2) **(a)** ***Upon application of any fiduciary, under penalty of perjury,***~~If a proposed~~  
17 ~~periodic or final settlement of a fiduciary is~~ accompanied by ~~a~~ verified  
18 ***waivers***~~waiver~~ executed by all of the beneficiaries of an estate, ~~and~~ none of  
19 ***whom is***~~the beneficiaries is~~ under a disability, the court shall accept from the  
20 fiduciary an informal ***final*** settlement which meets the requirements of  
21 subsection (1) of this section.

22 **(b)** ***Any beneficiary***~~Said beneficiaries~~ may request an accounting of the assets  
23 of the estate prior to execution of the waiver.

24 **(c)** ~~A~~~~No~~ verified waiver ***shall not be required***~~need be obtained~~ from a  
25 nonresiduary legatee who has received and receipted for his or her legacy,  
26 ***and*** the canceled check or signed receipt attached to the proposed settlement  
27 ***shall be***~~being~~ sufficient evidence of satisfaction.~~The court may require the~~

1           ~~fiduciary to execute bond with or without surety to insure the application of~~  
2           ~~the estate assets to the debts of the decedent.]~~

3       (3) **An informal final settlement may be filed at any time after expiration of six (6)**  
4           **months from the date of the fiduciary's appointment.**

5       (4) **The court shall not require notice to any person or a hearing prior to approval**  
6           **and confirmation of an informal final settlement.**

7       (5) **Upon approval and confirmation of the informal final settlement, the court may**  
8           **enter an order discharging the fiduciary, and his or her surety, if any.**

9       (6) In the event that one (1) or more of the beneficiaries of the estate is under a  
10           disability, the court may allow the filing of an informal **final** settlement if the court  
11           is of the opinion that the best interests of the person under the disability would be  
12           served.

13       ➔Section 23. KRS 395.610 is amended to read as follows:

14       (1) Two (2) years after appointment and annually thereafter, unless otherwise provided  
15           by law, every fiduciary as defined in KRS 395.001, other than a guardian or  
16           conservator of a mentally disabled person, shall render an account of the execution  
17           of his **or her** trust **and file it with**~~to~~ the court by which he **or she** was appointed~~;~~  
18           ~~including in the account an itemized statement of receipts and disbursements~~  
19           ~~supported by vouchers accompanying the account and a statement of all~~  
20           ~~investments on hand and changes in investments since the filing of his last account.~~  
21           ~~The settlements, when approved and confirmed by the court, shall be recorded and~~  
22           ~~indexed by the clerk, and the original and the vouchers carefully kept by him in his~~  
23           ~~office].~~

24       (2) **A periodic settlement shall be filed until all trust assets and investments have**  
25           **been fully distributed and all debts, costs, fees, and taxes have been paid or**  
26           **accounted for.**

27       (3) **A periodic settlement shall identify all assets and investments of the trust estate**

1 on hand, including a beginning and current value, and shall account for all  
2 receipts and disbursements occurring since the last inventory or settlement with  
3 supporting documentation.

4 (4) Notwithstanding subsection (1) of this section~~[An account shall be rendered by a~~  
5 ~~fiduciary], at any other time upon order of the court either on~~~~[upon]~~ its own  
6 motion, or upon the motion~~[that]~~ of any person interested in the trust, for good  
7 cause shown, a fiduciary shall file a periodic settlement that meets the  
8 requirements of subsection (3) of this section and as otherwise ordered by the  
9 court.

10 (5) In addition to the requirements of subsection (3) of this section, all final  
11 settlements shall include:

12 (a) A complete accounting~~[on affidavit. At the expiration of his trust, the~~  
13 ~~fiduciary shall fully account] for and distribution of~~~~[pay over]~~ the trust estate  
14 assets and investments, including whether the distribution was:

15 1. In kind and if so to whom; or

16 2. Liquidated for cash for payment of debts, costs of administration, or  
17 pecuniary legacies;

18 (b) A~~[to the person or persons entitled thereto. Every such account shall]~~ list of all  
19 unpaid creditors whose claims have been allowed and all creditors whose  
20 claims have been disallowed;

21 (c) Fees and commissions paid to the fiduciary and his or her attorney; and

22 (d) Provision for state inheritance tax and federal estate tax, if any.

23 (6) No settlement~~[account]~~ of a fiduciary, except of corporate fiduciaries under the  
24 supervision of state or federal banking authorities, shall be approved until there are  
25 exhibited to the court, for its examination, the security or securities shown in the  
26 account as being in the hands of the fiduciary, or the certificate of a bank having  
27 possession thereof or in which they have been deposited for safekeeping, and a

1 certified bank statement showing the funds to the credit of the trust.

2 **(7) The clerk of the court shall record all settlements that are approved and**  
3 **confirmed by the court.**

4 **(8)**~~[(2)]~~ Guardians and conservators of mentally disabled persons may be required to  
5 render accountings to the court under the provisions of this section. Guardians and  
6 conservators of mentally disabled persons shall comply with the reporting  
7 requirements of KRS Chapter 387.

8 ➔Section 24. KRS 395.617 is amended to read as follows:

9 (1) A fiduciary may, prior to filing a periodic or final settlement and prior to a  
10 distribution of assets, file with the court a proposed **periodic or final** settlement  
11 **within the time prescribed for filing settlements in Section 23 of this Act.**

12 **(2)** The proposed settlement shall be set for hearing, and **in addition to the** notice given  
13 as **provided in Section 26 of this Act as** for any other settlement, **the fiduciary shall**  
14 **notify all**~~[-except that]~~ beneficiaries of the estate, other than nonresiduary legatees  
15 who have received and receipted for their legacies,~~[-shall also receive notice from~~  
16 ~~the fiduciary]~~ by certified mail, return receipt requested, at least twenty (20) days  
17 prior to the hearing date.

18 **(3)** The proposed settlement shall **comply with the requirements for periodic and final**  
19 **settlements in Section 23 of this Act, except the proposed settlement**~~[-set forth all~~  
20 ~~assets and disbursements previously made,]~~ shall **also** indicate **any** assets~~[-on hand~~  
21 ~~and]~~ anticipated to be received subsequent to **filing**~~[-the date of]~~ the proposed  
22 settlement and prior to the filing of the periodic or final settlement **and the**  
23 **proposed distribution of all or a portion of the assets. Documentation supporting**  
24 **receipts and past disbursements shall not be required to be filed with the proposed**  
25 **settlement unless ordered by the court if exceptions are filed**~~[-, and shall further~~  
26 ~~indicate the manner in which the remaining and anticipated assets are proposed to~~  
27 ~~be distributed. The proposal may set forth which assets are to be distributed in kind~~

1 and to whom and which assets may be liquidated for distribution of cash or for  
2 payment of debts, costs of administration, or pecuniary legacies. The proposal may  
3 also indicate claims proposed to be allowed or disallowed, in whole or in part, and  
4 may also indicate fees and commissions proposed to be paid to the fiduciary and his  
5 attorney. The inclusion of evidence and vouchers to accompany the proposal shall  
6 not be necessary unless required by the court upon exceptions filed].

7 **(4)** At the hearing, if no exceptions are filed, the proposal, if made according to law,  
8 shall be approved. If exceptions are filed, other evidence besides that reported may  
9 be heard, and the court shall, upon the whole case, reject, confirm, alter, or amend  
10 the proposal.

11 **(5)** Following the entry of an order **approving, confirming, or amending the proposed**  
12 **settlement**~~[of approval or of an order of amendment]~~, the fiduciary shall disburse  
13 the assets in accordance **with the order**~~[therewith]~~. Following the distribution, the  
14 fiduciary shall file a settlement accompanied by **documentation**~~[evidence and~~  
15 ~~vouchers]~~ showing that distribution was effected in conformity with the~~[ court]~~  
16 order **approving, confirming, or amending**~~[. If it appears to the court that the~~  
17 ~~distribution was in conformity, the court shall confirm the settlement and, if the~~  
18 ~~settlement is final, discharge the fiduciary and his surety without further hearing or~~  
19 ~~notice to any person]~~.

20 **(6)** ~~[(2)]~~ An aggrieved party may, no later than thirty (30) days from the entry of the  
21 order upon the proposed settlement, institute an adversary proceeding in Circuit  
22 Court pursuant to KRS 24A.120(2).

23 ➔Section 25. KRS 395.620 is amended to read as follows:

24 (1) The District Judge shall **review a periodic or final settlement filed by a fiduciary,**  
25 **accompanied by documentation showing receipts, payments, and distribution.**

26 **(2) If the settlement is not submitted as provided in subsection (5) of Section 24 of**  
27 **this Act and otherwise found by the court to be complete, the court shall direct the**

clerk of the court to~~[make a written report of the settlement, showing each item of debit and credit, and the general result, and return it, with all evidence heard and vouchers filed, to the Circuit Clerk. The clerk shall note it of record, and indorse on it the time of filing, and]~~ set a date for a hearing on the settlement and give notice as required in Section 26 of this Act~~[report].~~

~~(3)~~~~(2)~~ If the settlement is found to be~~[A hearing on a settlement filed]~~ in conformity with an order approving, confirming, or amending a~~[approved]~~ proposed settlement made under KRS 395.617, the court shall confirm the settlement without further hearing or notice to any person and, if the settlement is final, discharge the fiduciary and his or her surety, if any~~[shall not be necessary].~~

➔ Section 26. KRS 395.625 is amended to read as follows:

(1) Except as provided in subsection (5) of this section, not less than ten (10) days prior to the date of the settlement hearing under Section 25 of this Act, the clerk of the court shall publish~~[cause]~~ notice of the~~[ filing of a]~~ settlement~~[to be published]~~ pursuant to KRS Chapter 424.

(2) The notice required under subsection (1) of this section shall include the:

(a) ~~[stating the]~~ Name of the fiduciary;~~;~~~~[the]~~

(b) Name of the trust;~~;~~~~[the]~~

(c) Nature of the account;~~;~~~~[the]~~

(d) Date of hearing, with a statement that exceptions shall~~[must]~~ be filed before the hearing~~[that time; except that]~~

(3) (a) Notwithstanding the publication requirement under subsection (1) of this section, with the court's approval the fiduciary may, in lieu of the~~[such]~~ publication, send a written notice of the hearing~~[thereof]~~ to all unpaid creditors and distributees;~~;~~~~[which]~~

(b) The notice shall be mailed at least ten (10) days before the~~[said]~~ date of hearing; and~~[.]~~

1        (c) The fiduciary~~[in such cases]~~ shall file his or her affidavit that the~~[such]~~  
2        notice has been mailed.

3        (4) The actual cost of the notice, or the proportionate part of the notice~~[thereof]~~, if  
4        more than one (1) settlement, shall be taxed as costs.

5        (5) The provisions of this section shall not apply if the value of the trust or estate is~~[~~  
6        ~~not more than]~~ two thousand five hundred dollars (\$2,500) or less and the assets of  
7        the trust or estate are held in an account that may be accessed only upon order of  
8        the court~~[, the provisions of this section shall not apply to settlements involving that~~  
9        ~~trust or estate]~~.

10       ➔Section 27. KRS 395.630 is amended to read as follows:

11       (1) At the settlement hearing, if no exceptions are filed, the settlement~~[report]~~, if made  
12       according to law, shall be approved~~[and recorded]~~.

13       (2) If exceptions are filed, other evidence~~[besides that reported]~~ may be heard, and the  
14       court shall upon the whole case, reject, confirm, alter, or amend the  
15       settlement~~[report, and, if confirmed, order it to be recorded. The vouchers~~  
16       ~~accompanying the report shall not be recorded, but must be carefully kept on file~~  
17       ~~with the report in the clerk's office]~~.

18       (3) Any~~[new]~~ evidence given in court must be electronically recorded and filed in the  
19       court record~~[with the report]~~.

20       (4) Settlements confirmed~~[so made]~~ and filed in the court record~~[recorded]~~ shall be  
21       prima facie evidence between the interested parties~~[interested]~~.

22       ➔Section 28. KRS 395.640 is amended to read as follows:

23       (1) The district judge shall at least once each year carefully inquire into the solvency of  
24       all the sureties upon the bond of each fiduciary that is required by law, or has been  
25       ordered by the court to post surety bond.

26       (2) ~~[, and]~~ If there is reason to believe that any bond is not amply sufficient to protect  
27       those interested, the district judge~~[he]~~ shall at once give notice to the fiduciary that

1 a new bond, or additional surety on the old bond~~[one]~~, is required, and upon the  
2 failure of the fiduciary to give the required bond or surety within a reasonable time  
3 fixed by the court, the court shall remove the fiduciary~~[him]~~.

4 ➔Section 29. KRS 395.645 is amended to read as follows:

5 When the court directs, settlements of the accounts of fiduciaries made before and  
6 reported by any trial commissioner, and all settlements~~[reports]~~ of estates or funds  
7 received or disbursed, under order of the court, by its trial commissioner, after they have  
8 been confirmed by the court, shall be filed in the court record with the documentation  
9 showing receipts, payments, and distributions~~[recorded by the clerk of the court in a~~  
10 ~~book to be provided for that purpose. The vouchers accompanying the settlements or~~  
11 ~~reports shall not be recorded].~~

12 ➔Section 30. KRS 395.990 is amended to read as follows:

13 Any fiduciary failing, without good cause~~[therefor]~~, to file his or her inventory or  
14 account as required by notice given pursuant to KRS 395.255 shall be fined by the court,  
15 for each day he or she neglects or refuses after the date fixed in the~~[said]~~ notice, the sum  
16 of one hundred~~[ten]~~ dollars (\$100)~~[\$10]~~, to be collected by rule or other process.

17 ➔Section 31. KRS 199.520 is amended to read as follows:

18 (1) (a) After hearing the case, the court shall enter a judgment of adoption~~[,]~~ if it  
19 finds that:

20 1. The facts stated in the petition were established;

21 2. ~~[that]~~ All legal requirements, including jurisdiction, relating to the  
22 adoption have been complied with;

23 3. ~~[that]~~ The petitioners are of good moral character, of reputable standing  
24 in the community and of ability to properly maintain and educate the  
25 child; and

26 4. ~~[that]~~ The best interest of the child will be promoted by the adoption and  
27 that the child is suitable for adoption.



1       **(b)** In the judgment, the name of the child shall be changed to conform with the  
2       prayer of the petition. The judgment and all orders required to be entered and  
3       recorded in the order book, including the caption, shall contain only the names  
4       of the petitioners and the proposed adopted name of the child, without any  
5       reference to its former name or the names of its birth parents.

6       (2) **(a)** Upon entry of the judgment of adoption, from and after the date of the filing  
7       of the petition, the child shall be:

8       **1.** Deemed the child of petitioners; and

9       **2. Except as provided in paragraph (b) of this subsection,**~~[ shall be~~  
10       ~~considered for purposes of inheritance and succession and]~~ for all~~[~~  
11       ~~other]~~ legal considerations, the natural child of the parents adopting it  
12       the same as if born of their bodies.

13       **(b) For purposes of inheritance and succession, the child shall only be deemed**  
14       **the child of the petitioners if the child was adopted and resided in the**  
15       **household of the petitioners prior to eighteen (18) years of age.**

16       **(c)** Upon granting an adoption, all legal relationship between the adopted child  
17       and the biological parents shall be terminated except the relationship of a  
18       biological parent who is the spouse of an adoptive parent.

19       (3) The clerk of the court shall notify the cabinet of any action of the court with respect  
20       to entering a judgment granting an adoption, the amendment of an adoption, or the  
21       denial or dismissal of a petition for adoption.

22       (4) (a) The **cabinet or other child-placing agency shall provide to the adoptive**  
23       **parents and the Circuit Court,**~~[health history and other nonidentifying~~  
24       ~~background information of biological parents and blood relatives of the~~  
25       ~~adopted person,]~~ in writing, on a standardized form~~[,]~~ provided by the cabinet,  
26       **the health history and other nonidentifying background information of**  
27       **biological parents and blood relatives of the adopted person to the extent**~~[if]~~

known,~~[ shall be given by the cabinet or child placing agency which has the~~  
~~information to the adoptive parents and to the Circuit Court]~~ not later than the  
date of finalization of the adoption proceedings. This information shall  
include the results of any tests for HIV or hepatitis A, B, and C; and

- (b) The information provided for in paragraph (a) of this subsection, if known,  
shall, upon the request in person or in writing of the adult adopted person, be  
made available in writing to that person. The information shall not be made  
available if it~~[ is of a nature that]~~ would~~[ tend to]~~ identify the biological  
parents of the adopted person, except as provided in KRS 199.570 and  
199.572.

➔SECTION 32. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
READ AS FOLLOWS:

**As used in Sections 32 to 40 of this Act:**

**(1) "Electronic" means relating to technology having electrical, digital, magnetic,**  
**wireless, optical, electromagnetic, or similar capabilities;**

**(2) "Electronic presence" means the relationship of two (2) or more individuals in**  
**different locations communicating in real time to the same extent as if the**  
**individuals were physically present in the same location;**

**(3) "Electronic will" means a will executed electronically in compliance with the**  
**requirements of Section 35 of this Act;**

**(4) "Record" means information that is inscribed on a tangible medium or that is**  
**stored in an electronic or other medium and is retrievable in perceivable form;**

**(5) "Sign" means, with present intent to authenticate or adopt a record:**

**(a) To execute or adopt a tangible symbol; or**

**(b) To affix to or logically associate with the record an electronic symbol or**  
**process;**

**(6) "State" has the same meaning as in Section 118 of this Act; and**

1 (7) "Will" has the same meaning as in Section 125 of this Act.

2 ➔SECTION 33. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
3 READ AS FOLLOWS:

4 An electronic will is a will for all purposes of the law of this Commonwealth. The law  
5 of this Commonwealth applicable to wills and principles of equity apply to an  
6 electronic will, except as modified by Sections 32 to 40 of this Act.

7 ➔SECTION 34. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
8 READ AS FOLLOWS:

9 A will executed electronically but not in compliance with Section 35 of this Act is an  
10 electronic will if executed in compliance with the law of the jurisdiction where the  
11 testator is:

12 (1) Physically located when the will is signed; or

13 (2) Domiciled or residing when the will is signed or when the testator dies.

14 ➔SECTION 35. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
15 READ AS FOLLOWS:

16 (1) Subject to subsection (3) of Section 37 of this Act, an electronic will shall be:

17 (a) A record that is readable as text at the time of signing under paragraph (b)  
18 of this subsection;

19 (b) Signed by:

20 1. The testator; or

21 2. Another individual in the testator's name, in the testator's physical  
22 presence, and by the testator's direction; and

23 (c) Signed in the physical or electronic presence of the testator by at least two  
24 (2) individuals, each of whom is a resident of this Commonwealth and  
25 physically located in this Commonwealth at the time of signing and within a  
26 reasonable time after witnessing:

27 1. The signing of the will under paragraph (b) of this subsection; or

1                   2. The testator's acknowledgment of the signing of the will under  
2                   paragraph (b) of this subsection or acknowledgment of the will.

3                   (2) An electronic symbol of a testator or witness shall consist of an electronic image  
4                   of the testator's or witness's signature in his or her handwriting affixed to the  
5                   electronic will.

6                   (3) A testator's intent that the record under subsection (1)(a) of this section be the  
7                   testator's electronic will may be established by extrinsic evidence.

8                   ➔SECTION 36. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
9 READ AS FOLLOWS:

10                  (1) An electronic will may revoke all or part of a previous will.

11                  (2) All or part of an electronic will may be revoked by:

12                   (a) A subsequent will that revokes all or part of the electronic will expressly or  
13                   by inconsistency; or

14                   (b) A physical act, if it is established by clear and convincing evidence that the  
15                   testator, with the intent of revoking all or part of the will, performed the act  
16                   or directed another individual who performed the act in the testator's  
17                   physical presence.

18                  ➔SECTION 37. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
19 READ AS FOLLOWS:

20                  (1) An electronic will may be simultaneously executed, attested, and made self-  
21                  proving by acknowledgment of the testator and affidavits of witnesses.

22                  (2) The acknowledgment and affidavits under subsection (1) of this section shall be:

23                   (a) Made before a notary public authorized to administer oaths under the law  
24                   of the state in which execution occurs or, if fewer than two (2) attesting  
25                   witnesses are physically present in the same location as the testator at the  
26                   time of signing under subsection (1)(b) of Section 35 of this Act, before a  
27                   notary public authorized under KRS 423.455;

1       **(b) Evidenced by the notary public's certificate under official seal affixed to or**  
2       **logically associated with the electronic will; and**

3       **(c) In a form substantially similar to subsections (1) and (2) of KRS 394.225.**

4       **(3) A signature physically or electronically affixed to an affidavit that is affixed to or**  
5       **logically associated with an electronic will under Sections 32 to 40 of this Act is**  
6       **deemed a signature of the electronic will under subsection (1) of Section 35 of**  
7       **this Act.**

8       ➔SECTION 38. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
9 READ AS FOLLOWS:

10       **An individual may create a certified paper copy of an electronic will by affirming under**  
11       **penalty of perjury that a paper copy of the electronic will is a complete, true, and**  
12       **accurate copy of the electronic will. If the electronic will is made self-proving, the**  
13       **certified paper copy of the will shall include the self-proving affidavits.**

14       ➔SECTION 39. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
15 READ AS FOLLOWS:

16       **In applying and construing Sections 32 to 40 of this Act, consideration shall be given**  
17       **to the need to promote uniformity of the law with respect to its subject matter among**  
18       **states that enact it.**

19       ➔SECTION 40. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
20 READ AS FOLLOWS:

21       **Sections 32 to 40 of this Act shall apply to the will of a decedent who dies on or after**  
22       **the effective date of this Act.**

23       ➔SECTION 41. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
24 READ AS FOLLOWS:

25       **As used in Sections 41 to 55 of this Act:**

26       **(1) "Electronic" has the same meaning as in Section 32 of this Act;**

27       **(2) "Electronic record" means a record created, generated, sent, communicated,**

1 received, or stored by electronic means;

2 (3) "Electronic signature" means an electronic symbol or process attached to or  
3 logically associated with a record and executed or adopted by a person with the  
4 intent to sign the record;

5 (4) "Information" includes data, text, images, codes, computer programs, software,  
6 and databases;

7 (5) "Nontestamentary estate planning document" means a record relating to estate  
8 planning that is readable as text at the time of signing and is not a will or  
9 contained in a will. The term:

10 (a) Includes a record readable as text at the time of signing that creates,  
11 exercises, modifies, releases, or revokes:

12 1. A trust instrument;

13 2. A trust power that under the terms of the trust requires a signed  
14 record;

15 3. A certification of a trust under KRS 386B.10-120;

16 4. A power of attorney that is durable under KRS Chapter 457;

17 5. An agent's certification under KRS 457.430;

18 6. A power of appointment;

19 7. An advance directive or medical order for scope of treatment under  
20 KRS 311.621 to 311.643;

21 8. A record directing disposition of an individual's body after death;

22 9. A nomination of a guardian for the signing individual;

23 10. A nomination of a guardian for a minor child or disabled adult child;

24 11. An advance directive for mental health treatment under KRS  
25 202A.420 to 202A.432;

26 12. A community property survivorship agreement;

27 13. A disclaimer under KRS 394.035 or KRS 394.610 to 394.670; and

- 1           14. Any other record intended to carry out an individual's intent  
2           regarding property or health care while incapacitated or on death; and  
3           (b) Does not include a deed of real property or certificate of title for a motor  
4           vehicle, watercraft, or aircraft;
- 5           (6) "Person" has the same meaning as in Section 118 of this Act;  
6           (7) "Power of attorney" means a record that grants authority to an agent in place of  
7           the principal, even if the term is not used in the record;  
8           (8) "Record" has the same meaning as in Section 32 of this Act;  
9           (9) "Security procedure" means a procedure to verify that an electronic signature,  
10           record, or performance is that of a specific person or to detect a change or error  
11           in an electronic record. The term includes a procedure that uses an algorithm,  
12           code, identifying word or number, encryption, or callback or other  
13           acknowledgment procedure;  
14           (10) "Settlor" has the same meaning as in Section 118 of this Act;  
15           (11) "Sign" has the same meaning as in Section 32 of this Act;  
16           (12) "State" has the same meaning as in Section 118 of this Act;  
17           (13) "Terms of a trust" has the same meaning as in Section 118 of this Act;  
18           (14) "Trust instrument" has the same meaning as in Section 118 of this Act; and  
19           (15) "Will" has the same meaning as in Section 125 of this Act.

20           ➔SECTION 42. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
21 READ AS FOLLOWS:

22           Sections 41 to 55 of this Act shall be construed and applied to:

- 23           (1) Facilitate electronic estate planning documents and signatures consistent with  
24           other law; and  
25           (2) Be consistent with reasonable practices concerning electronic documents and  
26           signatures and continued expansion of those practices.

27           ➔SECTION 43. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO

1 READ AS FOLLOWS:

2 (1) Except as provided in subsection (2) of this section, Sections 41 to 55 of this Act  
3 apply to an electronic nontestamentary estate planning document and an  
4 electronic signature on a nontestamentary estate planning document.

5 (2) Sections 41 to 55 of this Act do not apply to a nontestamentary estate planning  
6 document if the document precludes use of an electronic record or electronic  
7 signature.

8 (3) Sections 41 to 55 of this Act do not affect the validity of an electronic record or  
9 electronic signature that is valid under:

10 (a) The Uniform Electronic Transactions Act, KRS 369.101 to 369.120; or

11 (b) The Uniform Electronic Wills Act, Sections 32 to 40 of this Act.

12 ➔SECTION 44. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO

13 READ AS FOLLOWS:

14 The law of this Commonwealth and principles of equity applicable to a  
15 nontestamentary estate planning document apply to an electronic nontestamentary  
16 estate planning document except as modified by Sections 41 to 55 of this Act.

17 ➔SECTION 45. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO

18 READ AS FOLLOWS:

19 (1) Sections 41 to 55 of this Act do not require a nontestamentary estate planning  
20 document or signature on a nontestamentary estate planning document to be  
21 created, generated, sent, communicated, received, stored, or otherwise processed  
22 or used by electronic means or in electronic form.

23 (2) A person is not required to have a nontestamentary estate planning document in  
24 electronic form or signed electronically even if the person previously created or  
25 signed a nontestamentary estate planning document by electronic means.

26 (3) A person may not waive the provisions of this section.

27 ➔SECTION 46. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO



1 READ AS FOLLOWS:

2 (1) A nontestamentary estate planning document or signature on a nontestamentary  
3 estate planning document shall not be denied legal effect or enforceability solely  
4 because it is in electronic form.

5 (2) If any other law of this Commonwealth requires a signature on a  
6 nontestamentary estate planning document to be in writing, an electronic record  
7 of the document satisfies the requirement.

8 (3) If other law of this Commonwealth requires a signature on a nontestamentary  
9 estate planning document, an electronic signature satisfies the requirement.

10 ➔SECTION 47. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
11 READ AS FOLLOWS:

12 (1) An electronic nontestamentary estate planning document or electronic signature  
13 on an electronic nontestamentary estate planning document is attributable to a  
14 person if it was the act of the person. The act of the person may be shown in any  
15 manner, including by showing the efficacy of a security procedure applied to  
16 determine the person to which the electronic record or electronic signature was  
17 attributable.

18 (2) The effect of attribution to a person under subsection (1) of this section of a  
19 document or signature is determined from the context and surrounding  
20 circumstances at the time of its creation, execution, or adoption and as provided  
21 by other law.

22 ➔SECTION 48. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
23 READ AS FOLLOWS:

24 If other law of this Commonwealth requires a signature or record to be notarized,  
25 acknowledged, verified, or made under oath, the requirement is satisfied with respect to  
26 an electronic nontestamentary estate planning document if an individual authorized to  
27 perform the notarization, acknowledgment, verification, or oath attaches or logically

1 associates the individual's electronic signature on the document together with all other  
2 information required to be included under the other law.

3 ➔SECTION 49. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
4 READ AS FOLLOWS:

5 (1) If any other law of this Commonwealth bases the validity of a nontestamentary  
6 estate planning document on whether it is signed, witnessed, or attested by  
7 another individual, the signature, witnessing, or attestation of that individual may  
8 be electronic.

9 (2) If other law of this Commonwealth bases the validity of a nontestamentary estate  
10 planning document on whether it is signed, witnessed, or attested by another  
11 individual in the presence of the individual signing the document, the presence  
12 requirement is satisfied if the individuals are in each other's electronic presence.

13 ➔SECTION 50. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
14 READ AS FOLLOWS:

15 (1) Except as provided in subsection (2) of this section, if other law of this  
16 Commonwealth requires an electronic nontestamentary estate planning  
17 document to be retained, transmitted, copied, or filed, the requirement is satisfied  
18 by retaining, transmitting, copying, or filing an electronic record that:

19 (a) Accurately reflects the information in the document after it was first  
20 generated in final form as an electronic record or under Section 51 of this  
21 Act; and

22 (b) Remains accessible to the extent required by the other law.

23 (2) A requirement under subsection (1) of this section to retain a record does not  
24 apply to information the sole purpose of which is to enable the record to be sent,  
25 communicated, or received.

26 (3) A person may satisfy subsection (1) of this section by using the services of  
27 another person.

1 (4) If other law of this Commonwealth requires a nontestamentary estate planning  
2 document to be presented or retained in its original form, or provides  
3 consequences if a nontestamentary estate planning document is not presented or  
4 retained in its original form, an electronic record retained in accordance with  
5 subsection (1) of this section satisfies the other law.

6 (5) This section does not preclude a governmental agency from specifying  
7 requirements for the retention of a record subject to the agency's jurisdiction in  
8 addition to those in this section. In this subsection, "governmental agency"  
9 means an executive, legislative, or judicial agency, department, board,  
10 commission, authority, institution, or instrumentality of the federal government  
11 or of a state or of a county, municipality, or other political subdivision of a state.

12 ➔SECTION 51. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
13 READ AS FOLLOWS:

14 An individual may create a certified paper copy of an electronic nontestamentary estate  
15 planning document by affirming under penalty of perjury that the paper copy is a  
16 complete and accurate copy of the document.

17 ➔SECTION 52. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
18 READ AS FOLLOWS:

19 Evidence relating to an electronic nontestamentary estate planning document or an  
20 electronic signature on the document may not be excluded in a proceeding solely  
21 because it is in electronic form.

22 ➔SECTION 53. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
23 READ AS FOLLOWS:

24 In applying and construing Sections 41 to 55 of this Act, a court shall consider the  
25 promotion of uniformity of the law among the jurisdictions that enact it.

26 ➔SECTION 54. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO  
27 READ AS FOLLOWS:

Sections 41 to 55 of this Act modify, limit, or supersede the Electronic Signatures in Global and National Commerce Act, 15 U.S.C. sec. 7001 et seq., as amended, but do not modify, limit, or supersede 15 U.S.C. sec. 7001(c), or authorize electronic delivery of any of the notices described in 15 U.S.C. sec. 7003(b).

➔SECTION 55. A NEW SECTION OF KRS CHAPTER 394 IS CREATED TO READ AS FOLLOWS:

Sections 41 to 55 of this Act apply to an electronic nontestamentary estate planning document created, signed, generated, sent, received, or stored before, on, or after the effective date of this Act.

➔Section 56. KRS 140.070 is amended to read as follows:

The tax upon transfers of property as defined in the preceding sections of this chapter shall be at the following rates:

(1) Class A. In case the transfer is to or for the benefit of a parent, stepparent, surviving spouse, child by blood, stepchild, child adopted during infancy, child adopted during adulthood who was reared by the decedent during infancy or a grandchild who is the issue of a child by blood, the issue of a stepchild, the issue of a child adopted during adulthood who was reared by the decedent during infancy, the issue of a child adopted during infancy, brother, sister, or brother or sister of the half blood, the tax shall be, subject to the provisions of KRS 140.080, ~~shall be~~:

|                                                                     |     |
|---------------------------------------------------------------------|-----|
| On its value not exceeding \$20,000 .....                           | 2%  |
| On its value exceeding \$20,000, but not exceeding \$30,000 .....   | 3%  |
| On its value exceeding \$30,000, but not exceeding \$45,000 .....   | 4%  |
| On its value exceeding \$45,000, but not exceeding \$60,000 .....   | 5%  |
| On its value exceeding \$60,000, but not exceeding \$100,000 .....  | 6%  |
| On its value exceeding \$100,000, but not exceeding \$200,000 ..... | 7%  |
| On its value exceeding \$200,000, but not exceeding \$500,000 ..... | 8%  |
| On its value exceeding \$500,000 .....                              | 10% |

1 (2) Class B. In case the transfer is to or for the benefit of a nephew, niece, or a nephew  
 2 or niece of the half blood, daughter-in-law, son-in-law, aunt or uncle, or a great-  
 3 grandchild who is the grandchild of a child by blood, of a stepchild or of a child  
 4 adopted during infancy, the tax shall be, subject to the provisions of KRS  
 5 140.080, shall be:

6 — On its value not exceeding \$10,000 ..... 4%  
 7 — On its value exceeding \$10,000, but not exceeding \$20,000 ..... 5%  
 8 — On its value exceeding \$20,000, but not exceeding \$30,000 ..... 6%  
 9 — On its value exceeding \$30,000, but not exceeding \$45,000 ..... 8%  
 10 — On its value exceeding \$45,000, but not exceeding \$60,000 ..... 10%  
 11 — On its value exceeding \$60,000, but not exceeding \$100,000 ..... 12%  
 12 — On its value exceeding \$100,000, but not exceeding \$200,000 ..... 14%  
 13 — On its value exceeding \$200,000 ..... 16%]

14 (3) Class C. In case the transfer is to or for the benefit of any educational, religious, or  
 15 other institutions, societies, or associations, or to any cities, towns, or public  
 16 institutions not exempted by KRS 140.060, or to any person not included in either  
 17 Class A or Class B, the tax, subject to the provisions of KRS 140.080 shall be:

18 On its value not exceeding \$10,000 ..... 6%  
 19 On its value exceeding \$10,000, but not exceeding \$20,000 ..... 8%  
 20 On its value exceeding \$20,000, but not exceeding \$30,000 ..... 10%  
 21 On its value exceeding \$30,000, but not exceeding \$45,000 ..... 12%  
 22 On its value exceeding \$45,000, but not exceeding \$60,000 ..... 14%  
 23 On its value exceeding \$60,000 ..... 16%

24 ➔Section 57. KRS 140.080 is amended to read as follows:

25 (1) The following exemptions chargeable against the lowest bracket or brackets of  
 26 inheritable interests shall be free from any tax under the preceding provisions of  
 27 this chapter:

1 (a) Surviving spouse, total inheritable interest. ~~[Effective as to decedents dying~~  
2 ~~after August 1, 1985, ]~~Notwithstanding anything in this chapter to the  
3 contrary, if the decedent's personal representative (or trustee or transferee,  
4 absent a personal representative) shall so elect, the spouse's inheritable  
5 interest shall include the entire value of any trust or life estate which is in a  
6 form that qualifies for the federal estate tax marital deductions under 26  
7 U.S.C. sec. ~~[section]~~ 2056(b)(5) or ~~[2056(b)](7)~~ ~~[of the Internal Revenue Code~~  
8 ~~of 1954]~~, as amended through December 31, 1984, regardless of whether or  
9 not the federal estate tax marital deduction is elected by the decedent's  
10 personal representative. To be valid, the election referred to in the sentence  
11 immediately preceding must be made in the form prescribed by the  
12 Department of Revenue and must be filed on or before the due date of the tax  
13 return, including ~~[(plus]~~ extensions, ~~[)]~~ or with the first tax return filed,  
14 whichever last occurs;

15 (b) ~~[Class A beneficiaries as defined in KRS 140.070, other than the surviving~~  
16 ~~spouse, of estates of decedents dying prior to July 1, 1995, as follows:~~

- 17 1. ~~Infant child by blood or adoption, \$20,000;~~
- 18 2. ~~Child by blood who has been declared mentally disabled by a court of~~  
19 ~~competent jurisdiction, \$20,000;~~
- 20 3. ~~Child adopted during infancy who has been declared mentally disabled~~  
21 ~~by a court of competent jurisdiction, \$20,000; or a~~
- 22 4. ~~Child adopted during adulthood who was reared by the decedent during~~  
23 ~~infancy and who has been declared mentally disabled by a court of~~  
24 ~~competent jurisdiction, \$20,000;~~
- 25 5. ~~Parent, \$5,000;~~
- 26 6. ~~Child by blood, \$5,000;~~
- 27 7. ~~Stepchild, \$5,000;~~

- 1           8.—Child adopted during infancy, \$5,000;
- 2           9.—Child adopted during adulthood who was reared by the decedent during
- 3           infancy, \$5,000; or a
- 4           10.—Grandchild who is the issue of a child by blood, the issue of a stepchild,
- 5           the issue of a child adopted during infancy or the issue of a child
- 6           adopted during adulthood who was reared by the decedent during
- 7           infancy, \$5,000;
- 8       (c) Class A beneficiaries as defined in KRS 140.070, ~~other than the surviving~~
- 9       ~~spouse, of estates of decedents dying on or after July 1, 1995, shall be as~~
- 10       ~~follows:~~
- 11           1.—~~For decedents dying between July 1, 1995, and June 30, 1996, the~~
- 12           ~~greater of the exemption established pursuant to paragraph (1)(b) of this~~
- 13           ~~section or one fourth (1/4) of each beneficiary's inheritable interest;~~
- 14           2.—~~For decedents dying between July 1, 1996, and June 30, 1997, the~~
- 15           ~~greater of the exemption established pursuant to paragraph (1)(b) of this~~
- 16           ~~section or one half (1/2) of each beneficiary's inheritable interest;~~
- 17           3.—~~For decedents dying between July 1, 1997, and June 30, 1998, the~~
- 18           ~~greater of the exemption established pursuant to paragraph (1)(b) of this~~
- 19           ~~section or three fourths (3/4) of each beneficiary's inheritable interest;~~
- 20           ~~and~~
- 21           4.—~~For each decedent dying after June 30, 1998,~~ each beneficiary's total
- 22           inheritable interest;
- 23       (c)(d) All ~~persons of~~ Class B **beneficiaries as defined in**, ~~under~~ KRS
- 24       140.070, **as follows:**, ~~;~~
- 25           1. **For decedents dying prior to the effective date of this Act,** \$1,000;~~;~~
- 26           ~~and~~
- 27           2. **For decedents dying on or after the effective date of this Act, each**

1                    **beneficiary's total inheritable interest; and**

2                    **(d)(e)** All~~[-persons of]~~ Class C **beneficiaries as defined in**~~[-under]~~ KRS  
3                    140.070, \$500.

4                    (2) If the decedent was not a resident of this state, the exemption shall be the same  
5                    proportion of the allowable exemption in the case of residents that the property  
6                    taxable by this state bears to the whole property transferred by the decedent.

7                    ➔Section 58. KRS 64.012 is amended to read as follows:

8                    (1) The county clerk shall receive for the following services the following fees:

9                    (a) 1. Recording and indexing of a:

- 10                    a. Deed of trust or assignment for the benefit of creditors;
- 11                    b. Deed;
- 12                    c. Deed of assignment;
- 13                    d. File-stamped copy of documents set forth in KRS 14A.2-040(1) or  
14                    (2) that have been filed first with the Secretary of State;
- 15                    e. Real estate option;
- 16                    f. Power of attorney;
- 17                    g. Revocation of power of attorney;
- 18                    h. Lease which is recordable by law;
- 19                    i. Deed of release of a mortgage or lien under KRS 382.360;
- 20                    j. United States lien;
- 21                    k. Release of a United States lien;
- 22                    l. Release of any recorded encumbrance other than state liens;
- 23                    m. Lis pendens notice concerning proceedings in bankruptcy;
- 24                    n. Lis pendens notice;
- 25                    o. Mechanic's and artisan's lien under KRS Chapter 376;
- 26                    p. Assumed name;
- 27                    q. Notice of lien issued by the Internal Revenue Service;



- 1                   r.    Notice of lien discharge issued by the Internal Revenue Service;
- 2                   s.    Original, assignment, amendment, or continuation financing
- 3                       statement;
- 4                   t.    Making a record for the establishment of a city, recording the plan
- 5                       or plat thereof, and all other service incident;
- 6                   u.    Survey of a city, or any part thereof, or any addition to or
- 7                       extensions of the boundary of a city;
- 8                   v.    Recording with statutory authority for which no specific fee is set,
- 9                       except a military discharge;
- 10                  w.    Will or other probate document pursuant to KRS Chapter 392 or
- 11                       394;
- 12                  x.    Court ordered name change pursuant to KRS Chapter 401;
- 13                  y.    Land use restriction according to KRS 100.3681; and
- 14                  z.    Filing with statutory authority for which no specific fee is set.
- 15                       For all items in this subsection if the entire thereof does not exceed
- 16                       five (5) pages .....\$33.00
- 17                       And, for all items in this subsection exceeding five (5) pages,
- 18                       **except any will or other probate document pursuant to KRS**
- 19                       **Chapter 392 or 394 under subdivision w. of this subparagraph,**
- 20                       **or any court-ordered name change pursuant to KRS Chapter 401**
- 21                       **under subdivision x. of this subparagraph,**
- 22                       for each additional page .....\$3.00
- 23                       And, for all items in this subsection for each additional reference
- 24                       relating to same instrument .....\$4.00
- 25                  2.    The thirty-three dollar (\$33) fee imposed by this subsection shall be
- 26                       divided as follows:
- 27                       a.    Twenty-seven dollars (\$27) shall be retained by the county clerk;

1 and

2 b. Six dollars (\$6) shall be paid to the affordable housing trust fund  
3 established in KRS 198A.710 and shall be remitted by the county  
4 clerk within ten (10) days following the end of the quarter in  
5 which the fee was received. Each remittance to the affordable  
6 housing trust fund shall be accompanied by a summary report on a  
7 form prescribed by the Kentucky Housing Corporation.

- 8 (b) For noting a security interest on a certificate of title pursuant to  
9 KRS Chapter 186A .....\$12.00
- 10 (c) For filing the release of collateral under a financing statement  
11 and noting same upon the face of the title pursuant to KRS Chapter  
12 186 or 186A .....\$5.00
- 13 (d) Filing or recording state tax or other state liens .....\$5.00
- 14 (e) Filing release of a state tax or other state lien .....\$5.00
- 15 (f) Acknowledging or notarizing any deed, mortgage, power of attorney,  
16 or other written instrument required by law for recording and certifying  
17 same .....\$5.00
- 18 (g) Recording plats, maps, and surveys, not exceeding 24 inches by  
19 36 inches, per page .....\$40.00
- 20 (h) Recording a bond, for each bond .....\$10.00
- 21 (i) Each bond required to be taken or prepared by the clerk .....\$4.00
- 22 (j) Copy of any bond when ordered .....\$3.00
- 23 (k) Administering an oath and certificate thereof .....\$5.00
- 24 (l) Issuing a license for which no other fee is fixed by law .....\$8.00
- 25 (m) Issuing a solicitor's license .....\$15.00
- 26 (n) Marriage license, indexing, recording, and issuing certificate thereof ....\$26.50
- 27 (o) Every order concerning the establishment, changing, closing, or

|    |                                                                                 |          |
|----|---------------------------------------------------------------------------------|----------|
| 1  | discontinuing of roads, to be paid out of the county levy when                  |          |
| 2  | the road is established, changed, closed, or discontinued, and by               |          |
| 3  | the applicant when it is not .....                                              | \$3.00   |
| 4  | (p) Registration of licenses for professional persons required to register      |          |
| 5  | with the county clerk .....                                                     | \$10.00  |
| 6  | (q) Certified copy of any record .....                                          | \$5.00   |
| 7  | Plus fifty cents (\$.50) per page after three (3) pages                         |          |
| 8  | (r) Filing certification required by KRS 65.070(2)(a) .....                     | \$5.00   |
| 9  | (s) Filing notification and declaration and petition of candidates              |          |
| 10 | for Commonwealth's attorney.....                                                | \$200.00 |
| 11 | (t) Filing notification and declaration and petition of candidates for county   |          |
| 12 | and independent boards of education .....                                       | \$20.00  |
| 13 | (u) Filing notification and declaration and petition of candidates for          |          |
| 14 | boards of soil and water conservation districts .....                           | \$20.00  |
| 15 | (v) Filing notification and declaration and petition of candidates for          |          |
| 16 | other office .....                                                              | \$50.00  |
| 17 | (w) Filing declaration of intent to be a write-in candidate for office.....     | \$50.00  |
| 18 | (x) Filing petitions for elections, other than nominating petitions .....       | \$50.00  |
| 19 | (y) Notarizing any signature, per signature .....                               | \$2.00   |
| 20 | (z) Filing bond for receiving bodies under KRS 311.310 .....                    | \$10.00  |
| 21 | (aa) Noting the assignment of a certificate of delinquency and recording        |          |
| 22 | and indexing the encumbrance under KRS 134.126 or 134.127 .....                 | \$27.00  |
| 23 | (ab) Filing a going-out-of-business permit under KRS 365.445 .....              | \$50.00  |
| 24 | (ac) Filing a renewal of a going-out-of-business permit under KRS 365.445 ..... | \$50.00  |
| 25 | (ad) Filing and processing a transient merchant permit under KRS 365.680 .....  | \$25.00  |
| 26 | (ae) Recording and indexing a real estate mortgage:                             |          |
| 27 | 1. For a mortgage that does not exceed thirty (30) pages.....                   | \$63.00  |

1           2.   And, for a mortgage that exceeds thirty (30) pages, for each additional  
2           page .....\$3.00

3           (af) Filing or recording a lien or release of lien by a consolidated local  
4           government, urban-county government, unified local government, or city of  
5           any class .....\$20.00

6   (2)   The sixty-three dollar (\$63) fee imposed by subsection (1)(ae) of this section shall  
7       be divided as follows:

8           (a)   Fifty-seven dollars (\$57) shall be retained by the county clerk; and

9           (b)   Six dollars (\$6) shall be paid to the affordable housing trust fund established  
10          in KRS 198A.710 and shall be remitted by the county clerk within ten (10)  
11          days following the end of the quarter in which the fee was received. Each  
12          remittance to the affordable housing trust fund shall be accompanied by a  
13          summary report on a form prescribed by the Kentucky Housing Corporation.

14   (3)   (a)   For services related to the permanent storage of records listed in paragraphs  
15          (a), (g), (n), and (ae) of subsection (1) of this section, the clerk shall be  
16          entitled to receive a reimbursement of ten dollars (\$10).

17          (b)   In counties or a county containing an urban-county government, charter  
18          county government, or unified local government:

19           1.   This fee shall:

20               a.   Not be paid annually to the fiscal court under KRS 64.152;

21               b.   Not be paid to the Finance and Administration Cabinet under KRS  
22               64.345;

23               c.   Be accumulated and transferred to the fiscal court or the legislative  
24               body of an urban-county government on a monthly basis within  
25               ten (10) days following the end of the month;

26               d.   Be maintained by the fiscal court or the legislative body of an  
27               urban-county government in a separate bank account and

- 1                   accounted for in a separate fund; and
- 2                   e. Not lapse to the general fund of the county or urban-county
- 3                   government.
- 4                   2. The moneys accumulated from this fee shall be held in perpetuity by the
- 5                   fiscal court or the legislative body of an urban-county government for
- 6                   the county clerk's exclusive use for:
- 7                   a. Equipment related to the permanent storage of and access to
- 8                   records, including deed books, binders, shelves, microfilm
- 9                   equipment, and fireproof equipment;
- 10                  b. Hardware for the permanent storage of and access to records,
- 11                  including computers, servers, and scanners;
- 12                  c. Software for the permanent storage of and access to records,
- 13                  including vendor services and consumer subscription fees;
- 14                  d. Personnel costs for the permanent storage of and access to records,
- 15                  including overtime costs for personnel involved in the digitization
- 16                  of records; and
- 17                  e. Cloud storage and cybersecurity services for the permanent storage
- 18                  of and access to records.
- 19                  3. Notwithstanding KRS 68.275, claims by a county clerk that are for the
- 20                  approved expenditures in subparagraph 2. of this paragraph shall be paid
- 21                  by the county judge/executive or the chief executive officer of an urban-
- 22                  county government by a warrant drawn on the fund and co-signed by the
- 23                  treasurer of the county or urban-county government.
- 24                  4. No later than July 1 of each year, each county fiscal court or legislative
- 25                  body of an urban-county government shall submit a report to the
- 26                  Legislative Research Commission detailing the receipts, expenditures,
- 27                  and any amounts remaining in the fund.

- 1 (c) In a county containing a consolidated local government:
- 2 1. The fee shall not:
- 3 a. Be paid to the Finance and Administration Cabinet under KRS
- 4 64.345; or
- 5 b. Lapse to the general fund of the consolidated local government.
- 6 2. The moneys accumulated from this fee shall be held in perpetuity by the
- 7 county clerk in a separate fund to be used exclusively for:
- 8 a. Equipment related to the permanent storage of and access to
- 9 records, including deed books, binders, shelves, microfilm
- 10 equipment, and fireproof equipment;
- 11 b. Hardware for the permanent storage of and access to records,
- 12 including computers, servers, and scanners;
- 13 c. Software for the permanent storage of and access to records,
- 14 including vendor services and consumer subscription fees;
- 15 d. Personnel costs for the permanent storage of and access to records,
- 16 including overtime costs for personnel involved in the digitization
- 17 of records; and
- 18 e. Cloud storage and cybersecurity services for the permanent storage
- 19 of and access to records.
- 20 3. No later than July 1 of each year, the county clerk shall submit a report
- 21 to the consolidated local government and the Legislative Research
- 22 Commission detailing the receipts, expenditures, and any amounts
- 23 remaining in the fund.

24 ➔Section 59. KRS 142.010 is amended to read as follows:

- 25 (1) The following taxes shall be paid:
- 26 (a) A tax of four dollars and fifty cents (\$4.50) on each marriage license;
- 27 (b) A tax of four dollars (\$4) on each power of attorney to convey real or personal

1 property;

2 (c) A tax of four dollars (\$4) on each mortgage, financing statement, or security  
3 agreement and on each notation of a security interest on a certificate of title  
4 under KRS 186A.190;

5 (d) A tax of four dollars (\$4) on each conveyance of real property;~~and~~

6 (e) A tax of four dollars (\$4) on each lien or conveyance of coal, oil, gas, or other  
7 mineral right or privilege; and

8 **(f) A tax of four dollars (\$4) on each recorded will.**

9 (2) **Except as provided in Section 4 of this Act,** the tax imposed by this section shall be  
10 collected by each county clerk as a prerequisite to the issuance of a marriage license  
11 or the original filing of an instrument subject to the tax. Subsequent assignment of  
12 the original instrument shall not be cause for additional taxation under this section.  
13 This section shall not be construed to require any tax upon a deed of release of a  
14 lien retained in a deed or mortgage.

15 (3) Taxes imposed under this section shall be reported and paid to the Department of  
16 Revenue by each county clerk within ten (10) days following the end of the  
17 calendar month in which instruments subject to tax are filed or marriage licenses  
18 issued. Each remittance shall be accompanied by a summary report on a form  
19 prescribed by the department.

20 (4) Any county clerk who violates any of the provisions of this section shall be subject  
21 to the uniform civil penalties imposed pursuant to KRS 131.180. In every case, any  
22 tax not paid on or before the due date shall bear interest at the tax interest rate as  
23 defined in KRS 131.010(6) from the date due until the date of payment.

24 (5) (a) One dollar (\$1) of the amount collected under each paragraph of subsection  
25 (1) of this section shall be placed in an agency fund in the Department for  
26 Libraries and Archives to be used exclusively for the purpose of preserving  
27 and retaining public records by continuing the local records grant program

1 active in the Department for Libraries and Archives.

2 (b) Ninety percent (90%) of all funds allocated to the Department for Libraries  
3 and Archives under paragraph (a) of this subsection for the local records grant  
4 program shall be set aside for grants to county clerks and distributed annually,  
5 except as provided in paragraph (c) of this subsection.

6 (c) If there are insufficient grant applications from county clerks for the  
7 Department for Libraries and Archives to distribute ninety percent (90%) of  
8 all funds allocated under paragraph (a) of this subsection, the Department for  
9 Libraries and Archives may grant those funds to other agencies.

10 ➔Section 60. KRS 401.040 is amended to read as follows:

11 (1) (a) If the District Court, Family Court, or Circuit Court, as authorized by KRS  
12 401.020, orders any person's name to be changed under this chapter, a copy of  
13 the order shall be certified by the clerk of that court to the county clerk, for  
14 record; and

15 (b) The clerk of the court shall collect the fee required under Section 58 of this  
16 Act for the filing of a court-ordered name change under subsection (2) of  
17 this section and forward the fee with the copy of the order to the county  
18 clerk.

19 (2) The county clerk shall keep an alphabetical index for each book of records,  
20 referring to the page on which each person's name change appears, and giving the  
21 name from and to which it is changed.

22 ➔SECTION 61. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
23 READ AS FOLLOWS:

24 As used in Sections 61 to 71 of this Act, unless the context otherwise requires:

25 (1) "Claim" means a right to payment, whether or not the right is reduced to  
26 judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured,  
27 disputed, undisputed, legal, equitable, secured, or unsecured;



1 (2) "Creditor" means, with respect to a transferor, a person who has a claim;

2 (3) "Debt" means liability on a claim;

3 (4) "Disposition":

4 (a) Means a transfer, conveyance, or assignment of property, including a  
5 change in the legal ownership of property occurring upon the substitution  
6 of one (1) trustee for another or the addition of one (1) or more new  
7 trustees; and

8 (b) Includes the exercise of a power so as to cause a transfer of property to a  
9 trustee or trustees, but shall not include the release or relinquishment of an  
10 interest in property that, until the release or relinquishment, was the subject  
11 of a qualified disposition;

12 (5) "Investment advisor" means a person given authority by the terms of a qualified  
13 trust to direct, consent to, or disapprove a transferor's actual or proposed  
14 investment decisions, distribution decisions, or other decisions of the transferor;

15 (6) "Investment decision" means the retention, purchase, sale, exchange, tender, or  
16 other transaction affecting the ownership of or rights in investments;

17 (7) "Person" has the same meaning as in Section 118 of this Act;

18 (8) "Property" means anything that may be the subject of ownership, including real  
19 property, personal property, and interests in real or personal property;

20 (9) "Qualified affidavit" means a sworn affidavit signed by the transferor before a  
21 disposition of assets to a qualified trust that meets the requirements of Section 62  
22 of this Act. In the event of a disposition by a transferor who is a trustee, the  
23 affidavit shall be signed by the transferor who made the original disposition to the  
24 trustee or a predecessor trustee in a form that meets the requirements of  
25 paragraphs (b) and (c) of subsection (11) of this section and shall state facts as of  
26 the time of the original disposition;

27 (10) "Qualified disposition" means a disposition by or from a transferor with or

1 without consideration to a qualified trust after the transferor executes a qualified  
2 affidavit;

3 (11) "Qualified trust" means an instrument appointing a qualified trustee or qualified  
4 trustees for property that is the subject of a disposition, which instrument:

5 (a) Expressly incorporates the law of this Commonwealth to govern the validity,  
6 construction, and administration of the trust;

7 (b) Is irrevocable; and

8 (c) Provides that the interest of the transferor or other beneficiary in trust  
9 property or income from trust property may not be transferred, assigned,  
10 pledged, or mortgaged, whether voluntarily or involuntarily, before the  
11 qualified trustee or qualified trustees actually distribute property or income  
12 from the trust to the beneficiary;

13 (12) "Qualified trustee" means a person who:

14 (a) In the case of a natural person, is a resident of this Commonwealth, or in  
15 all other cases, is authorized by the law of this Commonwealth to act as a  
16 trustee and whose activities are subject to supervision by the Kentucky  
17 Department of Financial Institutions, the Federal Deposit Insurance  
18 Corporation, the Comptroller of the Currency, or any successor to those  
19 entities;

20 (b) Maintains or arranges for custody in this Commonwealth of some or all of  
21 the property that is the subject of the qualified disposition, maintains  
22 records for the qualified trust on an exclusive or nonexclusive basis,  
23 prepares or arranges for the preparation of required income tax returns for  
24 the qualified trust, or otherwise materially participates in the administration  
25 of the qualified trust; and

26 (c) Is not the transferor;

27 (13) "Spouse or former spouse" means only persons to whom the transferor was

1 legally married at or before the time the qualified disposition is made;

2 (14) "Transferor" means a person who, directly or indirectly, makes a disposition or  
3 causes a disposition to be made in the person's capacity:

4 (a) As an owner of property;

5 (b) As a holder of a power of appointment that authorizes the holder to appoint  
6 in favor of the holder, the holder's creditors, the holder's estate, or the  
7 creditors of the holder's estate; or

8 (c) As a trustee; and

9 (15) "Trustee" means an original, additional, and successor trustee, and a cotrustee,  
10 whether singular or plural, who is a fiduciary relative to any power or duty held  
11 by that person that could otherwise be held by a trustee.

12 ➔SECTION 62. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
13 READ AS FOLLOWS:

14 A qualified affidavit shall state that:

15 (1) The transferor has full right, title, and authority to transfer the assets to the trust;

16 (2) The transfer of the assets to the trust will not render the transferor insolvent;

17 (3) The transferor does not intend to defraud a creditor by transferring the assets to  
18 the trust;

19 (4) The transferor does not have any pending or threatened court actions against the  
20 transferor, except for those court actions identified by the transferor on an  
21 attachment to the affidavit;

22 (5) The transferor is not involved in any administrative proceedings, except for those  
23 administrative proceedings identified on an attachment to the affidavit;

24 (6) The transferor does not contemplate filing for relief under the federal bankruptcy  
25 code; and

26 (7) The assets being transferred to the trust were not derived from unlawful activities.

27 ➔SECTION 63. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO

1 READ AS FOLLOWS:

2 (1) Notwithstanding any law to the contrary, including KRS 386B.5-020(7)(a), no  
3 action of any kind, including but not limited to an action to enforce a judgment  
4 entered by a court or other body having adjudicative authority, shall be brought  
5 at law or in equity for an attachment or other provisional remedy against property  
6 that is the subject of a qualified disposition to a qualified trust or for the  
7 avoidance of a qualified disposition to a qualified trust, unless:

8 (a) The action is brought pursuant to the Kentucky Uniform Voidable  
9 Transactions Act, KRS 378A.005 to 378A.140; and

10 (b) The qualified disposition was made with actual intent to defraud a creditor  
11 whose claim arose after a qualified disposition.

12 (2) (a) Notwithstanding KRS 378A.090, a creditor's claim under subsection (1) of  
13 this section shall be extinguished:

14 1. If the person is a creditor when the qualified disposition to a qualified  
15 trust is made, unless the action is commenced within the later of two  
16 (2) years after the qualified disposition is made or six (6) months after  
17 the person discovers or reasonably should have discovered the  
18 qualified disposition; or

19 2. If the person becomes a creditor after a qualified disposition to a  
20 qualified trust is made, unless the action is commenced within two (2)  
21 years after the qualified disposition is made; and

22 (b) If paragraph (a) of this subsection applies:

23 1. A person shall be deemed to have discovered the existence of a  
24 qualified disposition to a qualified trust at the time any public record  
25 is made of any transfer of property relative to the qualified disposition,  
26 including but not limited to the conveyance of real property that is  
27 recorded in the office of the county clerk in which the property is

1                   located, the filing of a financing statement under Article 9 of KRS  
2                   Chapter 355, or the equivalent recording or filing of either with the  
3                   appropriate person or official under the laws of a jurisdiction other  
4                   than this Commonwealth; and

5                   2. No creditor shall bring an action with respect to property that is the  
6                   subject of a qualified disposition unless that creditor proves by clear  
7                   and convincing evidence that the settlor's transfer of the property was  
8                   made with intent to defraud that specific creditor.

9                   (3) For purposes of Sections 61 to 71 of this Act, a qualified disposition that is made  
10                  by means of a disposition by a transferor who is a trustee shall be deemed to have  
11                  been made as of the time the property that is the subject of the qualified  
12                  disposition was originally transferred to the transferor acting in the capacity of  
13                  trustee, or any predecessor trustee, in a form that meets the requirements of  
14                  subsection (11)(a) and (c) of Section 61 of this Act.

15                  (4) Notwithstanding any law to the contrary:

16                  (a) A creditor, including a creditor whose claim arose before or after a  
17                  qualified disposition, or any other person shall have only the rights with  
18                  respect to a qualified disposition that are provided in this section and  
19                  Section 65 of this Act;

20                  (b) Neither a creditor nor any other person shall have any claim or cause of  
21                  action against the trustee, an advisor of a qualified trust, or any person  
22                  involved in the counseling, drafting, preparation, execution, or funding of a  
23                  qualified trust; and

24                  (c) For purposes of this subsection, counseling, drafting, preparation,  
25                  execution, or funding of a qualified trust includes the counseling, drafting,  
26                  preparation, execution, or funding of a limited partnership or limited  
27                  liability company if interests in the limited partnership or limited liability

1                   company are subsequently transferred to the qualified trust.

2   (5) Notwithstanding any law to the contrary, no action of any kind, including but not  
3       limited to an action to enforce a judgment entered by a court or other body  
4       having adjudicative authority, shall be brought at law or in equity against a  
5       trustee or an advisor of a qualified trust, or against any person involved in the  
6       counseling, drafting, preparation, execution, or funding of a qualified trust if, as  
7       of the date the action is brought, an action by a creditor with respect to the  
8       qualified trust would be barred under this section.

9   (6) In circumstances where more than one (1) qualified disposition is made by means  
10       of the same qualified trust:

11       (a) The making of a subsequent qualified disposition shall be disregarded in  
12           determining whether a creditor's claim with respect to a prior qualified  
13           disposition is extinguished as provided in subsection (2) of this section; and

14       (b) Any distribution to a beneficiary shall be deemed to have been made from  
15           the latest qualified disposition.

16   (7) (a) If, in any action brought against a qualified trust, a court takes any action  
17       whereby the court declines to apply the law of this Commonwealth in  
18       determining the effect of a spendthrift provision of the trust:

19       1. The trustee shall immediately, upon the court's action and without the  
20           further order of any court, cease in all respects to be trustee and a  
21           successor trustee shall succeed as trustee in accordance with the terms  
22           of the trust; or

23       2. If the trust does not provide for a successor trustee and the trust would  
24           otherwise be without a trustee, a court of this Commonwealth, upon  
25           the application of any beneficiary of the trust, shall appoint a  
26           successor trustee upon the terms and conditions it determines to be  
27           consistent with the purposes of the trust and Sections 61 to 71 of this

1                   Act.

2           **(b) Upon the trustee's ceasing to be trustee, the trustee shall have no power or**  
3                   **authority other than to convey the trust property to the successor trustee**  
4                   **named in the trust in accordance with this subsection.**

5   **(8) A qualified trust shall be subject to this section whether or not the transferor**  
6                   **retains any or all of the powers and rights described in Section 70 of this Act or**  
7                   **serves as an investment advisor pursuant to Section 68 of this Act.**

8   **(9) (a) Notwithstanding subsection (1) or (2) of this section, the limitations on**  
9                   **actions by creditors in law or equity shall not apply, and such creditors'**  
10                  **claims shall not be extinguished, if the transferor is indebted on account of**  
11                  **an agreement, judgment, or order of a court for the payment of any of the**  
12                  **following:**

- 13               **1. Past due child support;**  
14               **2. Past due temporary or permanent maintenance to a spouse or former**  
15                   **spouse; or**  
16               **3. A written agreement, judgment, or order of a court for division of**  
17                   **marital property of a spouse or former spouse, but only to the extent of**  
18                   **the debt, legally mandated interest on the debt, and the reasonable cost**  
19                   **of collection of the debt.**

- 20   **(b) 1. A claim under this subsection shall be asserted against a trustee only:**  
21               **a. Upon a final, nonappealable determination of a Kentucky court**  
22                   **or a fully domesticated, final, nonappealable order of a court of**  
23                   **another state as defined by Section 118 of this Act that the debt is**  
24                   **past due; and**  
25               **b. After the court has determined that the claimant has made**  
26                   **reasonable attempts to collect the debt from any other sources of**  
27                   **the transferor or that such attempts would be futile.**

1           2. Nothing in this paragraph shall be construed to prohibit the court  
2                   from making the findings required in subparagraph 1. of this  
3                   paragraph in the same proceeding and order.

4           (c) This subsection shall not apply to any claim for forced heirship, legitime, or  
5                   elective share.

6           ➔SECTION 64. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
7 READ AS FOLLOWS:

8           A transferor shall only have the powers and rights conferred by the qualified trust. The  
9           powers and rights conferred by the qualified trust upon the transferor are personal  
10           powers and rights that may not be exercised by a creditor or any other person, except  
11           as expressly permitted by the trust. Except as permitted by Sections 68 and 70 of this  
12           Act, the transferor shall have no rights or authority with respect to the corpus of the  
13           qualified trust or the income from the trust, and any agreement or understanding  
14           purporting to grant or permit the retention of any greater rights or authority shall be  
15           void.

16           ➔SECTION 65. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
17 READ AS FOLLOWS:

18           (1) A qualified disposition to a qualified trust shall be avoided only to the extent  
19                   necessary to satisfy the transferor's debt to the creditor at whose instance the  
20                   disposition was avoided, together with costs, including attorneys' fees, that the  
21                   court may allow.

22           (2) In the event any qualified disposition is avoided as described in subsection (1) of  
23                   this section:

24                   (a) If the court is satisfied that a qualified trustee has not acted in bad faith in  
25                           accepting or administering the property that is the subject of the qualified  
26                           disposition:

27                           1. The qualified trustee shall have a first and paramount lien against the



1                   property that is the subject of the qualified disposition in an amount  
2                   equal to the entire cost, including attorneys' fees, properly incurred by  
3                   the qualified trustee in defense of the action or proceedings to avoid  
4                   the qualified disposition;

5                   2. The qualified disposition shall be avoided subject to the proper fees,  
6                   costs, preexisting rights, claims, and interests of the qualified trustee  
7                   and of any predecessor qualified trustee that has not acted in bad  
8                   faith; and

9                   3. For purposes of this paragraph, it shall be presumed that the qualified  
10                  trustee did not act in bad faith merely by accepting the property; and

11                  **(b) 1.** If the court is satisfied that a beneficiary of a qualified trust has not  
12                  acted in bad faith, the avoidance of the qualified disposition shall be  
13                  subject to the beneficiary's right to retain any distribution made upon  
14                  the exercise of a trust power or discretion vested in the qualified  
15                  trustee or qualified trustees of the qualified trust, which power or  
16                  discretion was properly exercised prior to the creditor's  
17                  commencement of an action to avoid a qualified disposition.

18                  2. For purposes of this paragraph, it shall be presumed that the  
19                  beneficiary, including a beneficiary who is also a transferor of the  
20                  trust, did not act in bad faith merely by creating the trust or by  
21                  accepting a distribution made in accordance with the terms of the  
22                  trust.

23                  **(3)** A disposition by a trustee that is not a qualified trustee to a trustee that is a  
24                  qualified trustee shall not be treated as other than a qualified disposition solely  
25                  because the trust instrument fails to meet the requirements of subsection (11)(a)  
26                  of Section 61 of this Act.

27                  **(4)** In the case of a disposition to more than one (1) trustee, a disposition that is

1 otherwise a qualified disposition shall not be treated as other than a qualified  
2 disposition solely because not all of the recipient trustees are qualified trustees.

3 ➔SECTION 66. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
4 READ AS FOLLOWS:

5 A spendthrift provision as described in subsection (11)(c) of Section 61 of this Act shall  
6 be deemed to be a restriction on the transfer of the transferor's beneficial interest in  
7 the trust that is enforceable under applicable nonbankruptcy law within the meaning  
8 of 11 U.S.C. sec. 541(c)(2) or any successor provision.

9 ➔SECTION 67. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
10 READ AS FOLLOWS:

11 (1) For purposes of Sections 61 to 71 of this Act, none of the following shall be  
12 considered a qualified trustee:

13 (a) The transferor or any other natural person who is a nonresident of this  
14 Commonwealth; or

15 (b) An entity:

16 1. That is not authorized by the law of this Commonwealth to act as a  
17 trustee; or

18 2. Whose activities are not subject to supervision as provided in  
19 subsection (12)(a) of Section 61 of this Act.

20 (2) (a) Nothing in Sections 61 to 71 of this Act shall preclude a transferor from  
21 appointing one (1) or more advisors, including but not limited to:

22 1. Advisors who have authority under the terms of the trust instrument to  
23 remove and appoint qualified trustees or trust advisors;

24 2. Advisors who have authority under the terms of the trust instrument to  
25 direct, consent to, or disapprove distributions from the trust; or

26 3. Investment advisors, whether or not the advisors would meet the  
27 requirements of subsection (12) of Section 61 of this Act.

1       **(b) For purposes of this subsection, "advisor" includes a trust protector or any**  
2       **other person who, in addition to a qualified trustee, holds one (1) or more**  
3       **trust powers.**

4       ➔SECTION 68. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
5 READ AS FOLLOWS:

6       **A person may serve as an investment advisor notwithstanding that the person is the**  
7       **transferor of the qualified disposition.**

8       ➔SECTION 69. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
9 READ AS FOLLOWS:

10       **In the event that a qualified trustee of a qualified trust ceases to meet the requirements**  
11       **of subsection (12)(a) of Section 61 of this Act, and there remains no trustee that meets**  
12       **the requirements, the qualified trustee shall be deemed to have resigned as of the time**  
13       **of that cessation, and thereupon, the successor qualified trustee provided for in the**  
14       **qualified trust shall become a qualified trustee of the qualified trust, or in the absence**  
15       **of any successor qualified trustee provided for in the qualified trust, then a court of**  
16       **this Commonwealth shall, upon application of any interested party, appoint a successor**  
17       **qualified trustee.**

18       ➔SECTION 70. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
19 READ AS FOLLOWS:

20       **A qualified trust shall not be deemed revocable on account of its inclusion of one (1) or**  
21       **more of the following:**

22       **(1) A transferor's power to veto a distribution from the trust;**

23       **(2) A power of appointment, other than a power to appoint to the transferor, the**  
24       **transferor's creditors, the transferor's estate, or the creditors of the transferor's**  
25       **estate, either exercisable by written instrument of the transferor during the**  
26       **transferor's life or exercisable by will or other written instrument of the**  
27       **transferor effective upon the transferor's death;**

1 (3) The transferor's potential or actual receipt of income, including rights to the  
2 income retained in the trust;

3 (4) The transferor's potential or actual receipt of income or principal from a  
4 charitable remainder unitrust or charitable remainder annuity trust as those  
5 terms are defined in 26 U.S.C. sec. 664 or any successor provision;

6 (5) The transferor's receipt each year of an amount specified in the trust, the amount  
7 not to exceed five percent (5%) of the initial value of the trust or its value  
8 determined from time to time pursuant to the trust;

9 (6) The transferor's potential or actual receipt or use of principal if the potential or  
10 actual receipt or use of principal would be the result of a qualified trustee's or  
11 qualified trustees' acting;

12 (a) In the qualified trustee's or trustees' discretion. For purposes of this  
13 subsection, a qualified trustee is presumed to have discretion with respect to  
14 the distribution of principal unless the discretion is expressly denied to the  
15 trustee by the terms of the trust;

16 (b) Pursuant to a standard that governs the distribution of principal and does  
17 not confer upon the transferor a power to consume, invade, or appropriate  
18 property for the benefit of the transferor, unless the power of the transferor  
19 is limited by an ascertainable standard relating to the health, education,  
20 support, or maintenance within the meaning of 26 U.S.C. sec. 2041(b)(1)(A)  
21 or 2514(c)(1), as amended; or

22 (c) At the direction of an advisor described in Section 67 of this Act who is  
23 acting;

24 1. In the advisor's discretion; or

25 2. Pursuant to a standard that governs the distribution of principal and  
26 does not confer upon the transferor a power to consume, invade, or  
27 appropriate property for the benefit of the transferor, unless the power

1                   of the transferor is limited by an ascertainable standard relating to the  
2                   health, education, support, or maintenance within the meaning of 26  
3                   U.S.C. sec. 2041(b)(1)(A) or 2514(c)(1), as amended;

4   (7) The transferor's right to remove a trustee or advisor and to appoint a new trustee  
5       or advisor; provided, however, that the right shall not include the appointment of  
6       a person who is a related or subordinate party with respect to the transferor  
7       within the meaning of 26 U.S.C. sec. 672(c) or any successor provision;

8   (8) The transferor's potential or actual use of real property held under a qualified  
9       personal residence trust within the meaning of the term as described in 26 U.S.C.  
10       sec. 2702(c) or any successor provision;

11   (9) The transferor's potential or actual receipt of income or principal to pay, in  
12       whole or in part, income taxes due on income of the trust if the potential or actual  
13       receipt of income or principal is pursuant to a provision in the trust instrument  
14       that expressly permits a distribution to the transferor as reimbursement for such  
15       taxes and if the distribution would be the result of a qualified trustee's or  
16       qualified trustees' acting;

17       (a) In the qualified trustee's or trustees' discretion or pursuant to a mandatory  
18           direction in the trust instrument; or

19       (b) At the direction of an advisor described in Section 67 of this Act who is  
20           acting in that advisor's discretion;

21   (10) The ability, whether pursuant to direction in the qualified trust or discretion of a  
22       qualified trustee to pay, after the death of the transferor, all or any part of the  
23       debts of the transferor outstanding at the time of the transferor's death, the  
24       expenses of administering the transferor's estate, or any estate or inheritance tax  
25       imposed on or with respect to the transferor's estate; or

26   (11) A qualified trustee's or qualified trustees' authority to make distributions to pay  
27       taxes in lieu of or in addition to the power to make a distribution for taxes

1 pursuant to subsections (3), (6), (9), or (10) of this section by direct payment to  
2 taxing authorities.

3 ➔SECTION 71. A NEW SECTION OF KRS CHAPTER 386 IS CREATED TO  
4 READ AS FOLLOWS:

5 Sections 61 to 71 of this Act shall apply to qualified dispositions to qualified trusts and  
6 dispositions by transferors who are trustees made on or after the effective date of this  
7 Act.

8 ➔SECTION 72. SUBCHAPTER 12 OF KRS CHAPTER 386B IS  
9 ESTABLISHED, AND A NEW SECTION THEREOF IS CREATED TO READ AS  
10 FOLLOWS:

11 As used in this subchapter:

12 (1) "Breach of trust" includes a violation by a trust director or trustee of a duty  
13 imposed on that director or trustee by the terms of the trust, the provisions of  
14 Sections 72 to 88 of this Act, or other law of this Commonwealth pertaining to  
15 trusts;

16 (2) "Directed trust" means a trust for which the terms of the trust grant a power of  
17 direction;

18 (3) "Directed trustee" means a trustee that is subject to a trust director's power of  
19 direction;

20 (4) "Person" has the same meaning as in Section 118 of this Act;

21 (5) "Power of direction" has the same meaning as in Section 118 of this Act;

22 (6) "Settlor" has the same meaning as in Section 118 of this Act;

23 (7) "State" has the same meaning as in Section 118 of this Act;

24 (8) "Terms of a trust" has the same meaning as in Section 118 of this Act;

25 (9) "Trust director" has the same meaning as in Section 118 of this Act; and

26 (10) "Trustee" has the same meaning as in Section 118 of this Act.

27 ➔SECTION 73. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER

1 386B IS CREATED TO READ AS FOLLOWS:

2 Sections 72 to 88 of this Act apply to a trust, whenever created, that has its principal  
3 place of administration in this Commonwealth, subject to the following rules:

4 (1) If the trust was created before the effective date of this Act, Sections 72 to 88 of  
5 this Act apply only to a decision or action occurring on or after the effective date  
6 of this Act; and

7 (2) If the principal place of administration of the trust is changed to this  
8 Commonwealth on or after the effective date of this Act, Sections 72 to 88 of this  
9 Act apply only to a decision or action occurring on or after the date of the  
10 change.

11 ➔SECTION 74. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
12 386B IS CREATED TO READ AS FOLLOWS:

13 The common law and principles of equity supplement the provisions of Sections 72 to  
14 88 of this Act, except to the extent modified by Sections 72 to 88 of this Act or another  
15 statute of this Commonwealth.

16 ➔SECTION 75. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
17 386B IS CREATED TO READ AS FOLLOWS:

18 (1) As used in this section, "power of appointment" means a power that enables a  
19 person acting in a nonfiduciary capacity to designate a recipient of an ownership  
20 interest in or another power of appointment over trust property.

21 (2) The provisions of Sections 72 to 88 of this Act shall not apply to a:

22 (a) Power of appointment;

23 (b) Power to appoint or remove a trustee or trust director;

24 (c) Power of a settlor over a trust to the extent the settlor has a power to revoke  
25 the trust;

26 (d) Power of a beneficiary over a trust to the extent the exercise or nonexercise  
27 of the power affects the beneficial interest of;

- 1           1. The beneficiary; or  
2           2. Another beneficiary represented by the beneficiary under KRS  
3           386B.3-010 to 386B.3-050 with respect to the exercise or nonexercise  
4           of the power; or

5           (e) Power over a trust if:

- 6           1. The terms of the trust provide that the power is held in a nonfiduciary  
7           capacity; and  
8           2. The power must be held in a nonfiduciary capacity to achieve the  
9           settlor's tax objectives under the United States Internal Revenue Code  
10           of 1986, as amended, and regulations issued thereunder, as amended.

11       (3) Unless the terms of a trust provide otherwise, a power granted to a person to  
12       designate a recipient of an ownership interest in or power of appointment over  
13       trust property which is exercisable while the person is not serving as a trustee is a  
14       power of appointment and not a power of direction.

15       ➔SECTION 76. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
16 386B IS CREATED TO READ AS FOLLOWS:

17       (1) Subject to Section 77 of this Act, the terms of a trust may grant a power of  
18       direction to a trust director.

19       (2) Unless the terms of a trust provide otherwise:

20           (a) A trust director may exercise any further power appropriate to the exercise  
21           or nonexercise of power of direction granted to the director under  
22           subsection (1) of this section; and

23           (b) Trust directors with joint powers shall act by majority decision.

24       ➔SECTION 77. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
25 386B IS CREATED TO READ AS FOLLOWS:

26       A trust director is subject to the same rules as a trustee in a like position and under  
27       similar circumstances in the exercise or nonexercise of a power of direction or further



1 power under subsection (2)(a) of Section 76 of this Act regarding:

2 (1) A payback provision in the terms of a trust necessary to comply with the  
3 reimbursement requirements of Medicaid law in Section 1917 of the Social  
4 Security Act, 42 U.S.C. sec. 1396p(d)(4)(A), as amended, and regulations issued  
5 thereunder, as amended; and

6 (2) A charitable interest in the trust, including notice regarding the interest to the  
7 Attorney General.

8 ➔SECTION 78. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
9 386B IS CREATED TO READ AS FOLLOWS:

10 (1) Subject to subsection (2) of this section, with respect to a power of direction or  
11 further power under subsection (2)(a) of Section 76 of this Act:

12 (a) A trust director has the same fiduciary duty and liability in the exercise or  
13 nonexercise of the power:

14 1. If the power is held individually, as a sole trustee in a like position and  
15 under similar circumstances; or

16 2. If the power is held jointly with a trustee or another trust director, as a  
17 cotrustee in like position and under similar circumstances; and

18 (b) The terms of the trust may vary the director's duty or liability to the same  
19 extent the terms of the trust could vary the duty or liability of a trustee in a  
20 like position and under similar circumstances.

21 (2) Unless the terms of a trust provide otherwise, if a trust director is licensed,  
22 certified, or otherwise authorized or permitted by law other than the provisions of  
23 Sections 72 to 88 of this Act to provide health care in the ordinary course of the  
24 director's business or practice of a profession, to the extent the director acts in  
25 that capacity, the director shall have no duty or liability under Sections 72 to 88  
26 of this Act.

27 (3) The terms of a trust may impose a duty or liability on a trust director in addition

1 to the duties and liabilities under this section.

2 ➔SECTION 79. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
3 386B IS CREATED TO READ AS FOLLOWS:

4 (1) Subject to subsection (2) of this section, a directed trustee shall take reasonable  
5 action to comply with a trust director's exercise or nonexercise of a power of  
6 direction or further power under subsection (2)(a) of Section 76 of this Act, and  
7 the trustee is not liable for the action.

8 (2) A directed trustee shall not comply with a trust director's exercise or nonexercise  
9 of a power of direction or further power under Section 76 of this Act to the extent  
10 that by complying, the trustee would engage in willful misconduct.

11 (3) An exercise of a power of direction under which a trust director may release a  
12 trustee or another trust director from liability for breach of trust is not effective  
13 if:

14 (a) The breach involved the trustee's or other director's willful misconduct;

15 (b) The release was induced by improper conduct of the trustee or other  
16 director in procuring the release; or

17 (c) At the time of the release, the director did not know the material facts  
18 relating to the breach.

19 (4) A directed trustee that has reasonable doubt about its duty under this section may  
20 petition a court with jurisdiction under Subchapter 2 of KRS Chapter 386B for  
21 instructions.

22 (5) The terms of a trust may impose a duty or liability on a directed trustee in  
23 addition to the duties and liabilities under this section.

24 ➔SECTION 80. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
25 386B IS CREATED TO READ AS FOLLOWS:

26 (1) Subject to Section 81 of this Act, a trustee shall provide information to a trust  
27 director to the extent the information is reasonably related to both:

1        (a) The powers or duties of the trustee; and

2        (b) The powers or duties of the director.

3        (2) Subject to Section 81 of this Act, a trust director shall provide information to a  
4        trustee or another trust director to the extent the information is reasonably  
5        related to both:

6        (a) The powers or duties of the director; and

7        (b) The powers or duties of the trustee or other director.

8        (3) A trustee that acts in reliance on information provided by a trust director is not  
9        liable for breach of trust to the extent the breach resulted from the reliance,  
10       unless by so acting the trust director engages in willful misconduct.

11       (4) A trust director that acts in reliance on information provided by a trustee or  
12       another trust director is not liable for a breach of trust to the extent the breach  
13       resulted from the reliance, unless by so acting the trust director engages in willful  
14       misconduct.

15       ➔SECTION 81. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
16       386B IS CREATED TO READ AS FOLLOWS:

17       (1) Unless the terms of a trust provide otherwise:

18       (a) The trustee shall not have a duty to:

19            1. Monitor a trust director; or

20            2. Inform or give advice to a settlor, beneficiary, trustee, or trust director  
21            concerning an instance in which the trustee might have acted  
22            differently than the director; and

23       (b) By taking an action described in paragraph (a) of this subsection, a trustee  
24       does not assume the duty excluded by paragraph (a) of this subsection.

25       (2) Unless the terms of a trust provide otherwise:

26       (a) The trust director shall not have a duty to:

27            1. Monitor a trustee or another trust director; or

1           2. Inform or give advice to a settlor, beneficiary, trustee, or another trust  
2           director concerning an instance in which the director might have  
3           acted differently than a trustee or another director; and

4           (b) By taking an action described in paragraph (a) of this subsection, a trust  
5           director does not assume the duty excluded by paragraph (a) of this  
6           subsection.

7           ➔SECTION 82. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
8 386B IS CREATED TO READ AS FOLLOWS:

9           The terms of a trust may relieve a cotrustee from duty and liability with respect to  
10          another cotrustee's exercise or nonexercise of a power of the other cotrustee to the  
11          same extent that in a directed trust a directed trustee is relieved from duty and liability  
12          with respect to a trust director's power under Sections 79, 80, and 81 of this Act.

13          ➔SECTION 83. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
14 386B IS CREATED TO READ AS FOLLOWS:

15          (1) An action against a trust director for breach of trust shall be commenced within  
16          the same limitation period as under KRS 386B.10-050 for an action for breach of  
17          trust against a trustee in a like position and under similar circumstances.

18          (2) A report or accounting has the same effect on the limitation period for an action  
19          against a trust director for breach of trust that the report or accounting would  
20          have under KRS 386B.10-050 in an action for breach of trust against a trustee in  
21          a like position and under similar circumstances.

22          ➔SECTION 84. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
23 386B IS CREATED TO READ AS FOLLOWS:

24          In an action against a trust director for breach of trust, the director may assert the  
25          same defenses a trustee in a like position and under similar circumstances could assert  
26          in an action for breach of trust against the trustee.

27          ➔SECTION 85. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER

1 386B IS CREATED TO READ AS FOLLOWS:

2 (1) By accepting appointment as a trust director of a trust subject to the provisions of  
3 Sections 72 to 88 of this Act, the director submits to personal jurisdiction of the  
4 courts of this Commonwealth regarding any matter related to a power or duty of  
5 the director.

6 (2) This section shall not preclude other methods of obtaining jurisdiction over a  
7 trust director.

8 ➔SECTION 86. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
9 386B IS CREATED TO READ AS FOLLOWS:

10 Unless the terms of a trust provide otherwise, the rules applicable to a trustee apply to a  
11 trust director regarding the following matters:

12 (1) Acceptance under KRS 386B.7-010;

13 (2) Giving of bond to secure performance under KRS 386B.7-020;

14 (3) Reasonable compensation under KRS 386B.7-080;

15 (4) Resignation under KRS 386B.7-050;

16 (5) Removal under KRS 386B.7-060; and

17 (6) Vacancy and appointment of successor under KRS 386B.7-040.

18 ➔SECTION 87. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
19 386B IS CREATED TO READ AS FOLLOWS:

20 In applying and construing Sections 77 to 88 of this Act, consideration shall be given  
21 to the need to promote uniformity of the law with respect to its subject matter among  
22 states that enact it.

23 ➔SECTION 88. A NEW SECTION OF SUBCHAPTER 12 OF KRS CHAPTER  
24 386B IS CREATED TO READ AS FOLLOWS:

25 The provisions of Sections 72 to 88 of this Act modify, limit, or supersede the  
26 Electronic Signatures in Global and National Commerce Act, 15 U.S.C. sec. 7001 et  
27 seq., but do not modify, limit, or supersede 15 U.S.C. sec. 7001(c) or authorize

1 electronic delivery of any of the notices described in 15 U.S.C. sec. 7003(b).

2 ➔SECTION 89. SUBCHAPTER 13 OF KRS CHAPTER 386B IS  
3 ESTABLISHED, AND A NEW SECTION THEREOF IS CREATED TO READ AS  
4 FOLLOWS:

5 As used in this subchapter:

6 (1) "Appointive property" means the property or property interest subject to a power  
7 of appointment;

8 (2) "Ascertainable standard" means the same as in Section 118 of this Act;

9 (3) "Authorized fiduciary" means:

10 (a) A trustee or other fiduciary, other than a settlor, that has discretion to  
11 distribute or direct a trustee to distribute part or all of the principal of the  
12 first trust to one (1) or more current beneficiaries;

13 (b) A special fiduciary appointed under Section 96 of this Act; or

14 (c) A special needs fiduciary under Section 100 of this Act;

15 (4) "Beneficiary" means a person that:

16 (a) Has a present or future, vested or contingent, beneficial interest in a trust;

17 (b) Holds a power of appointment over trust property; or

18 (c) Is an identified charitable organization that will or may receive distributions  
19 under the terms of the trust;

20 (5) "Charitable interest" means an interest in a trust which:

21 (a) Is held by an identified charitable organization and makes the organization  
22 a qualified beneficiary;

23 (b) Benefits only charitable organizations and, if the interest were held by an  
24 identified charitable organization, would make the organization a qualified  
25 beneficiary; or

26 (c) Is held solely for charitable purposes and, if the interest were held by an  
27 identified charitable organization, would make the organization a qualified

1                   beneficiary;

2   (6) "Charitable organization" means:

3                   (a) A person, other than an individual, organized and operated exclusively for  
4                   charitable purposes; or

5                   (b) A government or governmental subdivision, agency, or instrumentality, to  
6                   the extent it holds funds exclusively for a charitable purpose;

7   (7) "Charitable purpose" means the relief of poverty, the advancement of education  
8                   or religion, the promotion of health, a municipal or other governmental purpose,  
9                   or another purpose the achievement of which is beneficial to the community;

10   (8) "Court" means a court in this Commonwealth having jurisdiction in matters  
11                   relating to trusts under Subchapter 2 of this chapter;

12   (9) "Current beneficiary":

13                   (a) Means a beneficiary that on the date of the beneficiary's qualification is  
14                   determined is a distributee or permissible distributee of trust income or  
15                   principal; and

16                   (b) Includes the holder of a presently exercisable general power of appointment  
17                   but does not include a person that is a beneficiary only because the person  
18                   holds any other power of appointment;

19   (10) "Decanting power" or "the decanting power" means the power of an authorized  
20                   fiduciary under Sections 72 to 88 of this Act to distribute property of a first trust  
21                   to one (1) or more second trusts or to modify the terms of the first trust;

22   (11) "Expanded distributive discretion" means a discretionary power of distribution  
23                   that is not limited to an ascertainable standard or a reasonably definite standard;

24   (12) "First trust" means a trust over which an authorized fiduciary may exercise the  
25                   decanting power;

26   (13) "First-trust instrument" means the trust instrument for a first trust;

27   (14) "General power of appointment" means a power of appointment exercisable in

1 favor of a powerholder, the powerholder's estate, a creditor of the powerholder,  
2 or a creditor of the powerholder's estate;

3 (15) "Jurisdiction" has the same meaning as in Section 118 of this Act;

4 (16) "Person" has the same meaning as in Section 118 of this Act;

5 (17) "Power of appointment":

6 (a) Means a power that enables a powerholder acting in a nonfiduciary  
7 capacity to designate a recipient of an ownership interest in or another  
8 power of appointment over the appointive property; and

9 (b) Does not include a power of attorney;

10 (18) "Powerholder" means a person in which a donor creates a power of  
11 appointment;

12 (19) "Presently exercisable power of appointment" means a power of appointment  
13 exercisable by the powerholder at the relevant time and:

14 (a) Includes a power of appointment exercisable only after the occurrence of a  
15 specified event, the satisfaction of an ascertainable standard, or the passage  
16 of a specified time only after:

17 1. The occurrence of the specified event;

18 2. The satisfaction of the ascertainable standard; or

19 3. The passage of the specified time; and

20 (b) Does not include a power exercisable only at the powerholder's death;

21 (20) "Qualified beneficiary" has the same meaning as in Section 118 of this Act;

22 (21) "Reasonably definite standard" means a clearly measurable standard under  
23 which a holder of a power of distribution is legally accountable within the  
24 meaning of 26 U.S.C. sec. 674(b)(5)(A), as amended, and any applicable  
25 regulations;

26 (22) "Record" has the same meaning as in Section 32 of this Act;

27 (23) "Second-trust instrument" means the trust instrument for a second trust;



1 (24) "Settlor," except as otherwise provided in Section 112 of this Act, has the same  
2 meaning as in Section 118 of this Act;

3 (25) "Sign" has the same meaning as in Section 32 of this Act;

4 (26) "State" has the same meaning as in Section 118 of this Act;

5 (27) "Terms of the trust" has the same meaning as in Section 118 of this Act; and

6 (28) "Trust instrument" has the same meaning as in Section 118 of this Act.

7 ➔SECTION 90. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
8 386B IS CREATED TO READ AS FOLLOWS:

9 (1) Except as otherwise provided in subsections (2) and (3) of this section, the  
10 provisions of Sections 89 to 116 of this Act shall apply to an express trust that is  
11 irrevocable or revocable by the settlor only with the consent of the trustee or a  
12 person holding an adverse interest.

13 (2) Sections 89 to 116 of this Act shall not apply to a trust held solely for charitable  
14 purposes.

15 (3) Subject to Section 102 of this Act, a trust instrument may restrict or prohibit  
16 exercise of the decanting power.

17 (4) Sections 89 to 116 of this Act do not limit the power of a trustee, powerholder, or  
18 other person to distribute or appoint property in further trust or to modify a trust  
19 under the trust instrument, statutes of this Commonwealth other than the  
20 provisions of Sections 89 to 116 of this Act, common law, a court order, or a  
21 nonjudicial settlement agreement.

22 (5) Sections 89 to 116 of this Act do not affect the ability of a settlor to provide in a  
23 trust instrument for the distribution of the trust property or appointment in  
24 further trust of the trust property or for modification of the trust instrument.

25 ➔SECTION 91. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
26 386B IS CREATED TO READ AS FOLLOWS:

27 (1) In exercising the decanting power, an authorized fiduciary shall act in

1 accordance with its fiduciary duties, including the duty to act in accordance with  
2 the purposes of the first trust.

3 (2) Sections 89 to 116 of this Act do not create or imply a duty to exercise the  
4 decanting power or to inform the beneficiaries about the applicability of Sections  
5 89 to 116 of this Act.

6 (3) Except as otherwise provided in a first-trust instrument, for purposes of Sections  
7 72 to 88 of this Act and KRS 386B.8-010 and 386B.8-020, the terms of the first  
8 trust are deemed to include the decanting power.

9 ➔SECTION 92. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
10 386B IS CREATED TO READ AS FOLLOWS:

11 Sections 89 to 116 of this Act shall apply to a trust created before, on, or after the  
12 effective date of this Act which:

13 (1) Has its principal place of administration in this Commonwealth, including a trust  
14 whose principal place of administration has been changed to this  
15 Commonwealth; or

16 (2) Provides by its trust instrument that it is governed by the law of this  
17 Commonwealth or is governed by the law of this Commonwealth for the purpose  
18 of:

19 (a) Administration, including administration of a trust whose governing law for  
20 purposes of administration has been changed to the law of this  
21 Commonwealth;

22 (b) Construction of the terms of the trust; or

23 (c) Determining the meaning or effect of terms of the trust.

24 ➔SECTION 93. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
25 386B IS CREATED TO READ AS FOLLOWS:

26 A trustee or other person that reasonably relies on the validity of a distribution of part  
27 or all of the property of a trust to another trust, or a modification of a trust, under

1 Sections 89 to 116 of this Act, statutes of this Commonwealth other than Sections 89 to  
2 116 of this Act, or the law of another jurisdiction is not liable to any person for any  
3 action or failure to act as a result of the reliance.

4 ➔SECTION 94. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
5 386B IS CREATED TO READ AS FOLLOWS:

6 (1) A notice period in this section begins on the day notice is given under subsection  
7 (3) of this section and ends fifty-nine (59) days after the day notice is given.

8 (2) Except as otherwise provided in Sections 89 to 116 of this Act, an authorized  
9 fiduciary may exercise the decanting power without the consent of any person  
10 and without court approval.

11 (3) Except as otherwise provided in subsection (6) of this section, an authorized  
12 fiduciary shall give notice in a record of the intended exercise of the decanting  
13 power not less than sixty (60) days before the exercise to:

14 (a) Each settlor of the first trust, if living or then in existence;

15 (b) Each qualified beneficiary of the first trust;

16 (c) Each holder of a presently exercisable power of appointment over any part  
17 or all of the first trust;

18 (d) Each person that currently has the right to remove or replace the authorized  
19 fiduciary;

20 (e) Each other fiduciary of the first trust;

21 (f) Each fiduciary of the second trust; and

22 (g) The Attorney General, if subsection (2) of Section 101 of this Act applies.

23 (4) An authorized fiduciary is not required to give notice under subsection (3) of this  
24 section to a person that is not known to the fiduciary or is known to the fiduciary  
25 but cannot be located by the fiduciary after reasonable diligence.

26 (5) A notice under subsection (3) of this section shall:

27 (a) Specify the manner in which the authorized fiduciary intends to exercise the

1           decanting power;

2           (b) Specify the proposed effective date for exercise of the power; and

3           (c) Include a copy of:

4                 1. The first-trust instrument; or

5                 2. All second-trust instruments.

6           (6) The decanting power may be exercised before the expiration of the notice period  
7           under subsection (1) of this section if all persons entitled to receive notice waive  
8           the period in a signed record.

9           (7) The receipt of notice, waiver of the notice period, or expiration of the notice  
10           period does not affect the right of a person to file an application under Section 96  
11           of this Act asserting that:

12                 (a) An attempted exercise of the decanting power is ineffective because it did  
13                 not comply with the provisions of Sections 89 to 116 of this Act or was an  
14                 abuse of discretion or breach of fiduciary duty; or

15                 (b) Section 109 of this Act applies to the exercise of the decanting power.

16           (8) An exercise of the decanting power is not ineffective because of the failure to give  
17           notice to one (1) or more persons under subsection (3) of this section if the  
18           authorized fiduciary acted with reasonable care to comply with subsection (3) of  
19           this section.

20           ➔SECTION 95. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
21 386B IS CREATED TO READ AS FOLLOWS:

22           (1) Notice to a person with authority to represent and bind another person under a  
23           first-trust instrument or the provisions of this chapter has the same effect as  
24           notice given directly to the person represented.

25           (2) Consent of or waiver by a person with authority to represent and bind another  
26           person under a first-trust instrument or the provisions of this chapter is binding  
27           on the person represented unless the person represented objects to the

1 representation before the consent or waiver otherwise would become effective.

2 (3) A person with authority to represent and bind another person under a first-trust  
3 instrument or the provisions of this chapter may file an application under Section  
4 96 of this Act on behalf of the person represented.

5 (4) A settlor may not bind or represent a beneficiary under Sections 89 to 116 of this  
6 Act.

7 ➔SECTION 96. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
8 386B IS CREATED TO READ AS FOLLOWS:

9 (1) On application of an authorized fiduciary, a person entitled to notice under  
10 subsection (3) of Section 94 of this Act, a beneficiary, or with respect to a  
11 charitable interest, the Attorney General or other person that has standing to  
12 enforce the charitable interest, the court may:

13 (a) Provide instructions to the authorized fiduciary regarding whether a  
14 proposed exercise of the decanting power is permitted under Sections 89 to  
15 116 of this Act and consistent with the fiduciary duties of the authorized  
16 fiduciary;

17 (b) Appoint a special fiduciary and authorize the special fiduciary to determine  
18 whether the decanting power should be exercised under Sections 89 to 116  
19 of this Act and to exercise the decanting power;

20 (c) Approve an exercise of the decanting power;

21 (d) Determine that a proposed or attempted exercise of the decanting power is  
22 ineffective because:

23 1. After applying Section 109 of this Act, the proposed or attempted  
24 exercise does not or did not comply with the provisions of Sections 89  
25 to 116 of this Act; or

26 2. The proposed or attempted exercise would be or was an abuse of  
27 fiduciary's discretion or a breach of fiduciary duty;

- 1        (e) Determine the extent to which Section 109 of this Act applies to a prior  
2            exercise of the decanting power;
- 3        (f) Provide instructions to the trustee regarding the application of Section 109  
4            of this Act to a prior exercise of the decanting power; or
- 5        (g) Order other relief to carry out the purposes of Sections 89 to 116 of this Act.
- 6        (2) On application of an authorized fiduciary, the court may approve:
- 7            (a) An increase in the fiduciary's compensation under Section 103 of this Act;  
8            or
- 9            (b) A modification under Section 105 of this Act of a provision granting a  
10           person the right to remove or replace the fiduciary.

11        ➔SECTION 97. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
12        386B IS CREATED TO READ AS FOLLOWS:

13        An exercise of the decanting power shall be made in a record signed by an authorized  
14        fiduciary. The signed record shall, directly or by reference to the notice required by  
15        Section 94 of this Act, identify the first trust and the second trust or trusts and state the  
16        property of the first trust being distributed to each second trust and the property, if any,  
17        that remains in the first trust.

18        ➔SECTION 98. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
19        386B IS CREATED TO READ AS FOLLOWS:

20        (1) As used in this section:

- 21            (a) "Noncontingent right" means a right that is not subject to the exercise of  
22            discretion or the occurrence of a specified event that is not certain to occur.  
23            The term does not include a right held by a beneficiary if any person has  
24            discretion to distribute property subject to the right to any person other than  
25            the beneficiary or the beneficiary's estate;
- 26            (b) "Presumptive remainder beneficiary" means a qualified beneficiary other  
27            than a current beneficiary;

1 (c) "Successor beneficiary" means a beneficiary that is not a qualified  
2 beneficiary on the date the beneficiary's qualification is determined. The  
3 term does not include a person that is a beneficiary only because the person  
4 holds a nongeneral power of appointment; and

5 (d) "Vested interest" means:

- 6 1. A right to a mandatory distribution that is a noncontingent right as of  
7 the date of the exercise of the decanting power;
- 8 2. A current and noncontingent right, annually or more frequently, to a  
9 mandatory distribution of income, a specified dollar amount, or a  
10 percentage of value of some or all of the trust property;
- 11 3. A current and noncontingent right, annually or more frequently, to  
12 withdraw income, a specified dollar amount, or a percentage of value  
13 of some or all of the trust property;
- 14 4. A presently exercisable general power of appointment; or
- 15 5. A right to receive an ascertainable part of the trust property on the  
16 trust's termination which is not subject to the exercise of discretion or  
17 to the occurrence of a specified event that is not certain to occur.

18 (2) Subject to subsection (3) of this section and Section 101 of this Act, an authorized  
19 fiduciary that has expanded distributive discretion over the principal of a first  
20 trust for the benefit of one (1) or more current beneficiaries may exercise the  
21 decanting power over the principal of the first trust.

22 (3) Subject to Section 100 of this Act, in an exercise of the decanting power under  
23 this section, a second trust shall not:

24 (a) Include as a current beneficiary a person that is not a current beneficiary of  
25 the first trust, except as otherwise provided in subsection (4) of this section;

26 (b) Include as a presumptive remainder beneficiary or successor beneficiary a  
27 person that is not a current beneficiary, presumptive remainder beneficiary,

1 or successor beneficiary of the first trust, except as otherwise provided in  
2 subsection (4) of this section; or

3 (c) Reduce or eliminate a vested interest.

4 (4) Subject to subsection (3)(c) of this section and Section 101 of this Act, in an  
5 exercise of the decanting power under this section, a second trust may be a trust  
6 created or administered under the law of any jurisdiction and may:

7 (a) Retain a power of appointment granted in the first trust;

8 (b) Omit a power of appointment granted in the first trust, other than a  
9 presently exercisable general power of appointment;

10 (c) Create or modify a power of appointment if the powerholder is a current  
11 beneficiary of the first trust and the authorized fiduciary has expanded  
12 distributive discretion to distribute principal to the beneficiary; and

13 (d) Create or modify a power of appointment if the powerholder is a  
14 presumptive remainder beneficiary or successor beneficiary of the first  
15 trust, but the exercise of the power may take effect only after the  
16 powerholder becomes, or would have become if then living, a current  
17 beneficiary.

18 (5) A power of appointment described in paragraphs (a) to (d) of subsection (4) of  
19 this section may be general or nongeneral. The class of permissible appointees in  
20 favor of which the power may be exercised may be broader than or different from  
21 the beneficiaries of the first trust.

22 (6) If an authorized fiduciary has expanded distributive discretion over part but not  
23 all of the principal of a first trust, the fiduciary may exercise the decanting power  
24 under this section over that part of the principal over which the authorized  
25 fiduciary has expanded distributive discretion.

26 ➔ SECTION 99. A NEW SECTION OF SUBCHAPTER 13 OF KRS CHAPTER  
27 386B IS CREATED TO READ AS FOLLOWS:



- 1 (1) As used in this section, "limited distributive discretion" means a discretionary  
2 power of distribution that is limited to an ascertainable standard or a reasonably  
3 definite standard.
- 4 (2) An authorized fiduciary that has limited distributive discretion over the principal  
5 of the first trust for the benefit of one (1) or more current beneficiaries may  
6 exercise the decanting power over the principal of the first trust.
- 7 (3) Under this section and subject to Section 101 of this Act, a second trust may be  
8 created or administered under the law of any jurisdiction. Under this section, the  
9 second trusts, in the aggregate, shall grant each beneficiary of the first trust  
10 beneficial interests which are substantially similar to the beneficial interests of  
11 the beneficiary of the first trust.
- 12 (4) A power to make a distribution under a second trust for the benefit of a  
13 beneficiary who is an individual is substantially similar to a power under the first  
14 trust to make a distribution directly to the beneficiary. A distribution is for the  
15 benefit of a beneficiary if:
- 16 (a) The distribution is applied for the benefit of the beneficiary;  
17 (b) The beneficiary is under a legal disability or the trustee reasonably believes  
18 the beneficiary is incapacitated, and the distribution is made as permitted  
19 under this chapter; or
- 20 (c) The distribution is made as permitted under the terms of the first-trust  
21 instrument and the second-trust instrument for the benefit of the  
22 beneficiary.
- 23 (5) If an authorized fiduciary has limited distributive discretion over part but not all  
24 of the principal of a first trust, the fiduciary may exercise the decanting power  
25 under this section over that part of the principal over which the authorized  
26 fiduciary has limited distributive discretion.

27 ➔SECTION 100. A NEW SECTION OF SUBCHAPTER 13 OF KRS

1 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

2 (1) As used in this section:

3 (a) "Beneficiary with a disability" means a beneficiary of a first trust who the  
4 special needs fiduciary believes may qualify for governmental benefits based  
5 on disability, whether or not the beneficiary currently receives those benefits  
6 or is an individual who has been adjudicated incompetent;

7 (b) "Governmental benefits" means financial aid or services from a state,  
8 federal, or other public agency;

9 (c) "Special needs fiduciary" means, with respect to a trust that has a  
10 beneficiary with a disability:

11 1. A trustee or other fiduciary, other than a settlor, that has discretion to  
12 distribute part or all of the principal of a first trust to one (1) or more  
13 current beneficiaries;

14 2. If no trustee or fiduciary has discretion under subparagraph 1. of this  
15 paragraph, a trustee or other fiduciary, other than a settlor, that has  
16 discretion to distribute part or all of the income of the first trust to one  
17 (1) or more current beneficiaries; or

18 3. If no trustee or beneficiary has discretion under subparagraphs 1. and  
19 2. of this paragraph, a trustee or other fiduciary, other than a settlor,  
20 that is required to distribute part or all of the income or principal of  
21 the first trust to one (1) or more current beneficiaries; and

22 (d) "Special needs trust" means a trust that the trustee believes would not be  
23 considered a resource for purposes of determining whether a beneficiary  
24 with a disability is eligible for governmental benefits.

25 (2) A special needs fiduciary may exercise the decanting power in Section 98 of this  
26 Act over the principal of the first trust as if the fiduciary had authority to  
27 distribute principal to a beneficiary with a disability subject to expanded

1 distributive discretion if:

2 (a) A second trust is a special needs trust that benefits the beneficiary with a  
3 disability; and

4 (b) The special needs fiduciary determines that exercise of the decanting power  
5 will further the purposes of the first trust.

6 (3) In an exercise of the decanting power under this section, the following rules  
7 apply:

8 (a) Notwithstanding subsection (3)(b) of Section 98 of this Act, the interest in  
9 the second trust of a beneficiary with a disability may:

10 1. Be a pooled trust as defined by Medicaid law for the benefit of the  
11 beneficiary with a disability under 42 U.S.C. sec. 1396p(d)(4)(A), as  
12 amended; or

13 2. Contain payback provisions complying with reimbursement  
14 requirements of Medicaid law under 42 U.S.C. sec. 1396p(d)(4)(A), as  
15 amended;

16 (b) Subsection (3)(c) of Section 98 of this Act shall not apply to the interests of  
17 the beneficiary with a disability; and

18 (c) Except as affected by any change to the interests of the beneficiary with a  
19 disability, the second trust, or if there are two (2) or more second trusts, the  
20 second trusts in the aggregate, shall grant each other beneficiary of the first  
21 trust beneficial interests in the second trust which are substantially similar  
22 to the beneficiary's beneficial interests in the first trust.

23 ➔SECTION 101. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
24 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

25 (1) As used in this section:

26 (a) "Determinable charitable interest" means a charitable interest that is a  
27 right to a mandatory distribution currently, periodically, on the occurrence

1           of a specified event, or after the passage of a specified time and which is  
2           unconditional or will be held solely for charitable purposes; and

3           (b) "Unconditional" means not subject to the occurrence of a specified event  
4           that is not certain to occur, other than a requirement in a trust instrument  
5           that a charitable organization be in existence or qualify under a particular  
6           provision of the United States Internal Revenue Code of 1986, as amended,  
7           on the date of the distribution, if the charitable organization meets the  
8           requirement on the date of determination.

9           (2) If a first trust contains a determinable charitable interest, the Attorney General  
10           has the rights of a qualified beneficiary and may represent and bind the  
11           charitable interest.

12           (3) If a first trust contains a charitable interest, the second trust or trusts shall not:

13           (a) Diminish the charitable interest;

14           (b) Diminish the interest of an identified charitable organization that holds the  
15           charitable interest;

16           (c) Alter any charitable purpose stated in the first-trust instrument; or

17           (d) Alter any condition or restriction related to the charitable interest.

18           (4) If there are two (2) or more second trusts, the second trusts shall be treated as one  
19           (1) trust for purposes of determining whether the exercise of the decanting power  
20           diminishes the charitable interest or diminishes the interest of an identified  
21           charitable organization for purposes of subsection (3) of this section.

22           (5) If a first trust contains a determinable charitable interest, the second trust or  
23           trusts that include a charitable interest pursuant to subsection (3) of this section  
24           shall be administered under the law of this Commonwealth unless:

25           (a) The Attorney General, after having received notice under Section 94 of this  
26           Act, fails to object in a signed record delivered to the authorized fiduciary  
27           within the notice period;

1       **(b) The Attorney General consents in a signed record to the second trust or**  
2       **trusts being administered under the law of another jurisdiction; or**

3       **(c) The court approves the exercise of the decanting power.**

4       **(6) Sections 89 to 116 of this Act do not limit the powers and duties of the Attorney**  
5       **General under the law of this Commonwealth other than the provisions of**  
6       **Sections 89 to 116 of this Act.**

7       ➔SECTION 102. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
8 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

9       **(1) An authorized fiduciary may not exercise the decanting power to the extent the**  
10       **first-trust instrument expressly prohibits the exercise of:**

11       **(a) The decanting power; or**

12       **(b) A power granted by state law to the fiduciary to distribute part or all of the**  
13       **principal of the trust to another trust or to modify the trust.**

14       **(2) Exercise of the decanting power is subject to any restriction in the first-trust**  
15       **instrument that expressly applies to the exercise of:**

16       **(a) The decanting power; or**

17       **(b) A power granted by state law to a fiduciary to distribute part or all of the**  
18       **principal of the trust to another trust or to modify the trust.**

19       **(3) A general prohibition of the amendment or revocation of a first trust, a**  
20       **spendthrift clause, or a clause restraining the voluntary or involuntary transfer of**  
21       **a beneficiary's interest does not preclude exercise of the decanting power.**

22       **(4) Subject to subsections (1) and (2) of this section, an authorized fiduciary may**  
23       **exercise the decanting power under Sections 89 to 116 of this Act even if the first-**  
24       **trust instrument permits the authorized fiduciary or another person to modify the**  
25       **first-trust instrument or to distribute part or all of the principal of the first trust to**  
26       **another trust.**

27       **(5) If a first-trust instrument contains an express prohibition described in subsection**

1 (1) of this section or an express restriction described in subsection (2) of this  
2 section, the provision shall be included in the second-trust instrument.

3 ➔SECTION 103. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
4 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

5 (1) If a first-trust instrument specifies an authorized fiduciary's compensation, the  
6 fiduciary may not exercise the decanting power to increase the fiduciary's  
7 compensation above the specified compensation unless:

8 (a) All qualified beneficiaries of the second trust consent to the increase in a  
9 signed record; or

10 (b) The increase is approved by the court.

11 (2) If a first-trust instrument does not specify an authorized fiduciary's  
12 compensation, the fiduciary may not exercise the decanting power to increase the  
13 fiduciary's compensation above the compensation permitted by this chapter  
14 unless:

15 (a) All qualified beneficiaries of the second trust consent to the increase in a  
16 signed record; or

17 (b) The increase is approved by the court.

18 (3) A change in an authorized fiduciary's compensation which is incidental to other  
19 changes made by the exercise of the decanting power is not an increase in the  
20 fiduciary's compensation for purposes of subsections (1) and (2) of this section.

21 ➔SECTION 104. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
22 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

23 (1) Except as otherwise provided in this section, a second-trust instrument may not  
24 relieve an authorized fiduciary from liability for breach of trust to a greater  
25 extent than the first-trust instrument.

26 (2) A second-trust instrument may provide for indemnification of an authorized  
27 fiduciary of the first trust or another person acting in a fiduciary capacity under

1 the first trust for any liability or claim that would have been payable from the first  
2 trust if the decanting power had not been exercised.

3 (3) A second-trust instrument may not reduce fiduciary liability in the aggregate.

4 (4) Subject to subsection (3) of this section, a second-trust instrument may divide and  
5 reallocate fiduciary powers among the fiduciaries, including one (1) or more  
6 trustees, distribution advisors, investment advisors, trust protectors, or other  
7 persons, and relieve a fiduciary from liability for an act or failure to act of  
8 another fiduciary as permitted by law of this Commonwealth other than Sections  
9 89 to 116 of this Act.

10 ➔SECTION 105. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
11 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

12 An authorized fiduciary may not exercise the decanting power to modify a provision in  
13 a first-trust instrument granting another person power to remove or replace the  
14 fiduciary unless:

15 (1) The person holding the power consents to the modification in a signed record and  
16 the modification applies only to that person;

17 (2) The person holding the power and the qualified beneficiaries of the second trust  
18 consent to the modification in a signed record and the modification grants a  
19 substantially similar power to another person; or

20 (3) The court approves the modification and the modification grants a substantially  
21 similar power to another person.

22 ➔SECTION 106. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
23 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

24 (1) As used in this section:

25 (a) "Grantor trust" means a trust as to which a settlor of a first trust is  
26 considered the owner under 26 U.S.C. secs. 671 to 677, as amended, or 26  
27 U.S.C. sec. 679, as amended;

1       **(b) "Internal Revenue Code" means the United States Internal Revenue Code**  
2       **of 1986, as amended;**

3       **(c) "Nongrantor trust" means a trust that is not a grantor trust; and**

4       **(d) "Qualified benefits property" means property subject to the minimum**  
5       **distribution requirements of 26 U.S.C. sec. 401(a)(9), as amended, and any**  
6       **applicable regulations, or to any similar requirements that refer to 26**  
7       **U.S.C. sec. 401(a)(9) or the regulations.**

8       **(2) An exercise of the decanting power is subject to the following limitations:**

9       **(a) If a first trust contains property that qualified, or would have qualified but**  
10       **for provisions of Sections 89 to 116 of this Act other than this section, for a**  
11       **marital deduction for purposes of the gift or estate tax under the Internal**  
12       **Revenue Code or a state gift, estate, or inheritance tax, the second-trust**  
13       **instrument shall not include or omit any term that, if included in or omitted**  
14       **from the trust instrument for the trust to which the property was**  
15       **transferred, would have prevented the transfer from qualifying for the**  
16       **deduction, or would have reduced the amount of the deduction, under the**  
17       **same provisions of the Internal Revenue Code or state law under which the**  
18       **transfer qualified;**

19       **(b) If the first trust contains property that qualified, or would have qualified but**  
20       **for provisions of Sections 89 to 116 of this Act other than this section, for a**  
21       **charitable deduction for purposes of the income, gift, or estate tax under the**  
22       **Internal Revenue Code or a state income, gift, estate, or inheritance tax, the**  
23       **second-trust instrument shall not include or omit any term that, if included**  
24       **from or omitted from the trust instrument for the trust to which the property**  
25       **was transferred, would have prevented the transfer from qualifying for the**  
26       **deduction, or would have reduced the amount of the deduction, under the**  
27       **same provisions of the Internal Revenue Code or state law under which the**



1           transfer qualified;

2           (c) If the first trust contains property that qualified, or would have qualified but  
3           for provisions of Sections 89 to 116 of this Act other than this section, for  
4           the exclusion from the gift tax described in:

5           1. 26 U.S.C. sec. 2503(b), as amended, the second-trust instrument shall  
6           not include or omit a term that, if included in or omitted from the trust  
7           instrument for the trust to which the property was transferred, would  
8           have prevented the transfer from qualifying under 26 U.S.C. sec.  
9           2503(b), as amended; or

10          2. 26 U.S.C. sec. 2503(c), as amended, the second-trust instrument shall  
11          not include or omit a term that, if included in or omitted from the trust  
12          instrument for the trust to which the property was transferred, would  
13          have prevented the transfer from qualifying under 26 U.S.C. sec.  
14          2503(c), as amended;

15          (d) If the property of the first trust includes shares of stock in an S corporation  
16          as defined in 26 U.S.C. sec. 1361, as amended, and the first trust is, or but  
17          for provisions of Sections 89 to 116 of this Act other than this section would  
18          be, a permitted shareholder under any provision of 26 U.S.C. sec. 1361, as  
19          amended, an authorized fiduciary may exercise the power with respect to  
20          part of all the S corporation stock only if any second trust receiving the  
21          stock is a permitted shareholder under 26 U.S.C. sec. 1361(c)(2), as  
22          amended. If the property of the first trust includes shares of stock in an S  
23          corporation and the first trust is, or but for provisions of Sections 89 to 116  
24          of this Act other than this section would be, a qualified subchapter S trust  
25          within the meaning of 26 U.S.C. sec. 1361(d), as amended, the second-trust  
26          instrument shall not include or omit a term that prevents the second trust  
27          from qualifying as a qualified subchapter S trust;

1 (e) If the first trust contains property that qualified, or would have qualified but  
2 for provisions of Sections 89 to 116 of this Act other than this section, for a  
3 zero inclusion ratio for purposes of the generation-skipping transfer tax  
4 under 26 U.S.C. sec. 2642(c), as amended, the second-trust instrument shall  
5 not include or omit a term that, if included in or omitted from the first-trust  
6 instrument, would have prevented the transfer to the first trust from  
7 qualifying for a zero inclusion ratio under 26 U.S.C. sec. 2642(c), as  
8 amended;

9 (f) If the first trust is directly or indirectly the beneficiary of qualified benefits  
10 property, the second-trust instrument shall not include or omit any term  
11 that, if included in or omitted from the first-trust instrument, would have  
12 increased the minimum distributions required with respect to the qualified  
13 benefits property under 26 U.S.C. sec. 401(a)(9), as amended, and any  
14 applicable regulations, or any similar requirements that refer to 26 U.S.C.  
15 sec. 401(a)(9), as amended, or the regulations. If an attempted exercise of  
16 the decanting power violates the preceding sentence, the trustee is deemed to  
17 have held the qualified benefits property and any reinvested distributions of  
18 the property as a separate share from the date of the exercise of the power,  
19 and Section 109 of this Act applies to the separate share;

20 (g) If the first trust qualifies as a grantor trust because of the application of 26  
21 U.S.C. sec. 672(f)(2)(A), as amended, the second trust shall not include or  
22 omit a term that, if included in or omitted from the first-trust instrument,  
23 would have prevented the first trust from qualifying under 26 U.S.C. sec.  
24 672(f)(2)(A), as amended;

25 (h) As used in this paragraph, "tax benefit" means a federal or state tax  
26 deduction, exemption, exclusion, or other benefit not otherwise listed in this  
27 section, except for a benefit arising from being a grantor trust. Subject to

1 paragraph (i) of this subsection, a second-trust instrument shall not include  
2 or omit a term that, if included in or omitted from the first-trust instrument,  
3 would have prevented qualification for a tax benefit if:

4 1. The first-trust instrument expressly indicates an intent to qualify for  
5 the benefit or the first-trust instrument clearly is designed to enable  
6 the first trust to qualify for the benefit; and

7 2. The transfer of property held by the first trust or the first trust  
8 qualified, or but for the provisions of Sections 89 to 116 of this Act  
9 other than this section, would have qualified for the tax benefit;

10 (i) Subject to paragraph (d) of this subsection:

11 1. Except as otherwise provided in paragraph (q) of this subsection, the  
12 second trust may be a nongrantor trust, even if the first trust is a  
13 grantor trust; and

14 2. Except as otherwise provided in paragraph (j) of this subsection, the  
15 second trust may be a grantor trust, even if the first trust is a  
16 nongrantor trust; and

17 (j) An authorized fiduciary may not exercise the decanting power if a settlor  
18 objects in a signed record delivered to the fiduciary within the notice period  
19 and:

20 1. The first trust and a second trust are both grantor trusts, in whole or  
21 in part, the first trust grants the settlor or another person the power to  
22 cause the first trust to cease to be a grantor trust, and the second trust  
23 does not grant an equivalent power to the settlor or other person; or

24 2. The first trust is a nongrantor trust and a second trust is a grantor  
25 trust, in whole or in part, with respect to the settlor, unless:

26 a. The settlor has the power at all times to cause the second trust to  
27 cease to be a grantor trust; or

1                    b. The first-trust instrument contains a provision granting the  
2                    settlor or another person a power that would cause the first trust  
3                    to cease to be a grantor trust and the second-trust instrument  
4                    contains the same provision.

5                    ➔SECTION 107. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
6 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

7                    (1) Subject to subsection (2) of this section, a second trust may have a duration that  
8                    is the same as or different from the duration of the first trust.

9                    (2) To the extent that property of a second trust is attributable to property of the first  
10                    trust, the property of the second trust is subject to any rules governing maximum  
11                    perpetuity, accumulation, or suspension of the power of alienation which apply to  
12                    the property of the first trust.

13                    ➔SECTION 108. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
14 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

15                    An authorized fiduciary may exercise the decanting power whether or not under the  
16                    first trust's discretionary distribution standard the fiduciary would have made or could  
17                    have been compelled to make a discretionary distribution of principal at the time of the  
18                    exercise.

19                    ➔SECTION 109. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
20 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

21                    (1) If exercise of the decanting power would be effective under Sections 89 to 116 of  
22                    this Act except that the second-trust instrument in part does not comply with the  
23                    provisions of Sections 89 to 116 of this Act, the exercise of the power is effective  
24                    and the following rules shall apply with respect to the principal of the second  
25                    trust attributable to the exercise of the power:

26                    (a) A provision in the second-trust instrument which is not permitted under  
27                    Sections 89 to 116 of this Act is void to the extent necessary to comply with

1           Sections 89 to 116 of this Act; and

2           (b) A provision required by Sections 89 to 116 of this Act to be in the second-  
3           trust instrument which is not contained in the instrument is deemed to be  
4           included in the instrument to the extent necessary to comply with Sections  
5           89 to 116 of this Act.

6           (2) If a trustee or other fiduciary of a second trust determines that subsection (1) of  
7           this section applies to a prior exercise of the decanting power, the fiduciary shall  
8           take corrective action consistent with the fiduciary's duties.

9           ➔SECTION 110. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
10          CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

11          (1) As used in this section:

12           (a) "Animal trust" means a trust or an interest in a trust created to provide for  
13           the care of one (1) or more animals; and

14           (b) "Protector" means a person appointed in an animal trust to enforce the  
15           trust on behalf of the animal or, if no such person is appointed in the trust,  
16           a person appointed by the court for that purpose.

17          (2) The decanting power may be exercised over an animal trust that has a protector  
18          to the extent the trust could be decanted under Sections 89 to 116 of this Act if  
19          each animal that benefits from the trust were an individual, if the protector  
20          consents in a signed record to the exercise of the power.

21          (3) A protector for an animal has the rights under Sections 89 to 116 of this Act of a  
22          qualified beneficiary.

23          (4) Notwithstanding any other provision of Sections 89 to 116 of this Act, if a first  
24          trust is an animal trust, in an exercise of the decanting power, the second trust  
25          shall provide that trust property may be applied only to its intended purpose for  
26          the period the first trust benefitted the animal.

27          ➔SECTION 111. A NEW SECTION OF SUBCHAPTER 13 OF KRS

1 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

2 *A reference in KRS Chapter 386B to a trust instrument or terms of the trust includes a*  
3 *second-trust instrument and the terms of the second trust.*

4 ➔SECTION 112. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
5 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

6 *(1) For purposes of law of this Commonwealth other than Sections 89 to 116 of this*  
7 *Act and subject to subsection (2) of this section, a settlor of a first trust is deemed*  
8 *to be the settlor of the second trust with respect to the portion of the principal of*  
9 *the first trust subject to the exercise of the decanting power.*

10 *(2) In determining settlor intent with respect to a second trust, the intent of a settlor*  
11 *of the first trust, a settlor of the second trust, and the authorized fiduciary may be*  
12 *considered.*

13 ➔SECTION 113. A NEW SECTION OF SUBCHAPTER 13 OF KRS  
14 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

15 *(1) Except as otherwise provided in subsection (3) of this section, if exercise of the*  
16 *decanting power was intended to distribute all the principal of the first trust to*  
17 *one (1) or more second trusts, later-discovered property belonging to the first*  
18 *trust and property paid to or acquired by the first trust after the exercise of the*  
19 *power is part of the trust estate of the second trust or trusts.*

20 *(2) Except as otherwise provided in subsection (3) of this section, if exercise of the*  
21 *decanting power was intended to distribute less than all the principal of the first*  
22 *trust to one (1) or more second trusts, later-discovered property belonging to the*  
23 *first trust or property paid to or acquired by the first trust after exercise of the*  
24 *power remains part of the trust estate of the first trust.*

25 *(3) An authorized fiduciary may provide in an exercise of the decanting power or by*  
26 *the terms of a second trust for disposition of later-discovered property belonging*  
27 *to the first trust or property paid to or acquired by the first trust after exercise of*

1        the power.

2        ➔SECTION 114.     A NEW SECTION OF SUBCHAPTER 13 OF KRS  
3 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

4        A debt, liability, or other obligation enforceable against property of a first trust is  
5        enforceable to the same extent against the property when held by the second trust after  
6        exercise of the decanting power.

7        ➔SECTION 115.     A NEW SECTION OF SUBCHAPTER 13 OF KRS  
8 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

9        In applying and construing Sections 89 to 116 of this Act, consideration shall be given  
10       to the need to promote uniformity of the law with respect to its subject matter among  
11       states that enact it.

12       ➔SECTION 116.     A NEW SECTION OF SUBCHAPTER 13 OF KRS  
13 CHAPTER 386B IS CREATED TO READ AS FOLLOWS:

14       The provisions of Sections 89 to 116 of this Act modify, limit, or supersede the  
15       Electronic Signatures in Global and National Commerce Act, 15 U.S.C. sec. 7001 et  
16       seq., but do not modify, limit, or supersede Section 101(c) of that Act, 15 U.S.C. sec.  
17       7001(c), or authorize electronic delivery of any of the notices described in Section  
18       103(b) of that Act, 15 U.S.C. sec. 7003(b).

19       ➔Section 117.   KRS 386.010 is amended to read as follows:

20       As used in KRS 386.010 to 386.170~~[386.175]~~, unless the context requires otherwise:

21       (1) "Fiduciary" means any trustee, guardian, executor, administrator, conservator or  
22       other individual or corporation holding funds or otherwise acting in a fiduciary  
23       capacity.

24       (2) "Principal" means any person to whom a fiduciary, as such, owes an obligation.

25       ➔Section 118.   KRS 386B.1-010 is amended to read as follows:

26       As used in this chapter, unless the context requires otherwise:

27       (1) "Action" with respect to an act of a trustee, includes a failure to act;

- 1 (2) "Ascertainable standard" means a standard relating to an individual's health,  
2 education, support, or maintenance within the meaning of 26 U.S.C. sec.  
3 2041(b)(1)(A) or 26 U.S.C. sec. 2514(c)(1), as amended;
- 4 (3) "Beneficiary" means a person that:  
5 (a) Has a present or future beneficial interest in a trust, vested or contingent; or  
6 (b) In a capacity other than that of trustee, holds a power of appointment over  
7 trust property;
- 8 (4) "Charitable trust" means a trust, or part of a trust, established for a charitable  
9 purpose as described in KRS 386B.4-050(1);
- 10 (5) "Conservator" means a person appointed by the court to administer the estate of a  
11 minor or adult individual;
- 12 (6) "Environmental law" means a federal, state, or local law, rule, regulation, or  
13 ordinance relating to protection of the environment;
- 14 (7) "Guardian" means a person appointed by the court, a parent, or a spouse to make  
15 decisions regarding the support, care, education, health, and welfare of a minor or  
16 adult individual. The term shall not include a guardian ad litem;
- 17 (8) "Interests of the beneficiaries" means the beneficial interests provided in the terms  
18 of the trust;
- 19 (9) "Jurisdiction," with respect to a geographic area, includes a state or country;
- 20 (10) "Person" means any individual or entity as defined in KRS 446.010;
- 21 **(11) "Power of direction":**  
22 **(a) Means a power over a trust granted to a person by the terms of the trust to**  
23 **the extent the power is exercisable while the person is not serving as a**  
24 **trustee;**  
25 **(b) Includes a power over the investment, management, or distribution of trust**  
26 **property or other matters of trust administration; and**  
27 **(c) Excludes the powers described in subsection (2) of Section 75 of this Act;**



1 ~~(12)~~~~(11)~~ "Power of withdrawal" means a presently exercisable general power of  
2 appointment other than a power:

3 (a) Exercisable by a trustee and limited by an ascertainable standard; or

4 (b) Exercisable by another person only on the consent of the trustee or a person  
5 holding an adverse interest;

6 ~~(13)~~~~(12)~~ "Property" means anything that may be the subject of ownership, whether  
7 legal or equitable, or any interest therein;

8 ~~(14)~~~~(13)~~ "Qualified beneficiary" means a beneficiary who, on the date the beneficiary's  
9 qualification is determined:

10 (a) Is a distributee or permissible distributee of trust income or principal;

11 (b) Would be a distributee or permissible distributee of trust income or principal  
12 if the interests of the distributees described in paragraph (a) of this subsection  
13 ended on that date without causing the trust to end; or

14 (c) Would be a distributee or permissible distributee of trust income or principal  
15 if the trust ended on that date;

16 ~~(15)~~~~(14)~~ "Revocable," as applied to a trust, means revocable by the settlor without the  
17 consent of the trustee or a person holding an adverse interest;

18 ~~(16)~~~~(15)~~ "Settlor" means a person, including a testator, who creates or contributes  
19 property to a trust. If more than one (1) person creates or contributes property to a  
20 trust, each person is a settlor of the part of the trust property attributable to that  
21 person's contribution except to the extent another person has the power to revoke or  
22 withdraw that part;

23 ~~(17)~~~~(16)~~ "Spendthrift provision" means a term of a trust which restrains both voluntary  
24 and involuntary transfer of a beneficiary's interest;

25 ~~(18)~~~~(17)~~ "State" means a state of the United States, the District of Columbia, Puerto  
26 Rico, the United States Virgin Islands, or any territory or insular possession subject  
27 to the jurisdiction of the United States. The term includes an Indian tribe or band

1 recognized by federal law or formally acknowledged by a state;

2 ~~(19)~~~~(18)~~ "Terms of a trust" means:

3 (a) Except as otherwise provided in paragraph (b) of this subsection, the  
4 manifestation of the settlor's intent regarding a trust's provisions as:

5 1. Expressed in the trust instrument; ~~or~~~~as may be~~

6 2. Established by other evidence that would be admissible in a judicial  
7 proceeding; or

8 (b) The trust's provisions as established, determined, or amended by:

9 1. A trustee or trust director in accordance with applicable law;

10 2. A court order; or

11 3. A nonjudicial settlement agreement under KRS 386B.1-090;

12 ~~(20)~~~~(19)~~ (a) "Trust" means an express trust established by a trust instrument,  
13 including a will, whereby a trustee has the duty to administer a trust asset for  
14 the benefit of a named or otherwise described income or principal beneficiary,  
15 or both. This definition includes oral trusts.

16 (b) "Trust" does not include a resulting or constructive trust, a business trust  
17 which provides for certificates to be issued to the beneficiary, an investment  
18 trust, a voting trust, a security instrument, a trust established by the judgment  
19 of a court, a liquidation trust, or a trust for the primary purpose of paying  
20 dividends, interests, interest coupons, salaries, wages, pensions or profits, or  
21 employee benefits of any kind, an instrument in which a person is nominee or  
22 escrowee for another, a trust established in deposits in any financial  
23 institution, or other trust the nature of which does not admit of general trust  
24 administration;

25 (21) "Trust director" means a person that is granted power of direction by the terms  
26 of a trust to the extent the power is exercisable while the person is not serving as  
27 a trustee. The person is a trust director whether or not the terms of the trust refer

1 to the person as a trust director and whether or not the person is a beneficiary or  
2 settlor of the trust;

3 (22)~~[(20)]~~ "Trust instrument" means an instrument signed by the settlor that contains  
4 terms of the trust, including any amendments thereto; and

5 (23)~~[(24)]~~ "Trustee" includes an original, additional, and successor trustee, and a  
6 cotrustee.

7 ➔Section 119. KRS 386B.1-030 is amended to read as follows:

8 (1) Except as otherwise provided in the terms of the trust, this chapter governs the  
9 duties and powers of a trustee, relations among trustees, and the rights and interests  
10 of a beneficiary.

11 (2) The terms of a trust prevail over any provision of this chapter, except:

12 (a) The requirements for creating a trust;

13 (b) Subject to Sections 79, 81, and 82 of this Act, the duty of a trustee to act in  
14 good faith and in the interests of the beneficiaries;

15 (c) The requirement that a trust and its terms be for the benefit of its  
16 beneficiaries, and that the trust have a purpose that is lawful, not contrary to  
17 public policy, and possible to achieve;

18 (d) The power of the court to change or terminate a trust under Subchapter 4 of  
19 this chapter;

20 (e) The effect of a spendthrift provision and the rights of certain creditors and  
21 assignees to reach a trust as provided in Subchapter 5 of this chapter;

22 (f) The power of the court under KRS 386B.7-020 to require, dispense with, or  
23 modify or terminate a bond;

24 (g) The power of the court under KRS 386B.7-080(2) to adjust a trustee's  
25 compensation as specified in the terms of the trust which is unreasonably low  
26 or high;

27 (h) The duty to notify and report under KRS 386B.8-130(2);

- 1 (i) The effect of an exculpatory term under KRS 386B.10-080;
- 2 (j) The rights under KRS 386B.10-100, 386B.10-110, and 386B.10-120 of a
- 3 person other than a trustee or beneficiary;
- 4 (k) Periods of limitation for commencing a judicial proceeding;
- 5 (l) The power of the court to take such action and exercise such jurisdiction as
- 6 may be necessary in the interests of justice; and
- 7 (m) The subject-matter jurisdiction of the court and venue for commencing a
- 8 proceeding as provided in KRS 386B.2-030 and 386B.2-040.

9 ➔Section 120. KRS 386B.1-060 is amended to read as follows:

- 10 (1) Without precluding other means for establishing a connection with the designated
- 11 jurisdiction, terms of a trust designating the principal place of administration are
- 12 valid and controlling if:

- 13 (a) A trustee's principal place of business is located in or a trustee is a resident of
- 14 the designated jurisdiction;~~[or]~~

15 **(b) A trust director's principal place of business is located in or a trust director**

16 **is a resident of the designated jurisdiction; or**

17 **(c)**~~[(b)]~~ All or part of the administration occurs in the designated jurisdiction.

- 18 (2) A trustee is under a continuing duty to administer the trust at a place appropriate to
- 19 its purposes, its administration, and the interests of the beneficiaries.

- 20 (3) Without precluding the right of the court to order, approve, or disapprove a transfer,
- 21 the trustee, in furtherance of the duty prescribed by subsection (2) of this section,
- 22 may transfer the trust's principal place of administration to another state or to a
- 23 jurisdiction outside of the United States.

- 24 (4) The trustee shall notify the qualified beneficiaries of a proposed transfer of a trust's
- 25 principal place of administration not less than sixty (60) days before initiating the
- 26 transfer. The notice of proposed transfer shall include:

- 27 (a) The name of the jurisdiction to which the principal place of administration is

1 to be transferred;

2 (b) The address and telephone number at the new location at which the trustee  
3 can be contacted;

4 (c) An explanation of the reasons for the proposed transfer;

5 (d) The date on which the proposed transfer is anticipated to occur; and

6 (e) The date, not less than sixty (60) days after the giving of the notice, by which  
7 the qualified beneficiary shall notify the trustee of an objection to the  
8 proposed transfer.

9 (5) The authority of a trustee under this section to transfer a trust's principal place of  
10 administration ends if a qualified beneficiary notifies the trustee of an objection to  
11 the proposed transfer on or before the date specified in the notice.

12 (6) In connection with a transfer of the trust's principal place of administration, the  
13 trustee may transfer some or all of the trust property to a successor trustee  
14 designated in the terms of the trust or appointed under KRS 386B.7-040.

15 (7) The District Court shall have exclusive jurisdiction over matters under this section.

16 ➔Section 121. KRS 386B.3-010 is amended to read as follows:

17 (1) Notice to a person who may represent and bind another person under this  
18 subchapter has the same effect as if notice were given directly to the other person.

19 (2) The consent of a person who may represent and bind another person under this  
20 subchapter is binding on the person represented unless the person represented  
21 objects to the representation before the consent would otherwise have become  
22 effective.

23 (3) Except as otherwise provided under KRS 386B.4-110 and 386B.6-020, a person  
24 who under this subchapter may represent a settlor who lacks capacity, may receive  
25 notice and give a binding consent on the settlor's behalf.

26 (4) A settlor may not represent and bind a beneficiary under this subchapter with  
27 respect to the termination or modification of a trust under KRS 386B.4-110(1).

- 1 (5) Provisions of this subchapter shall also be applicable to **Sections 89 to 116 of this**  
2 **Act**~~[KRS 386.175]~~ regarding a trustee's power to appoint principal and income in  
3 favor of a trustee of a second trust and KRS 386.454 regarding a trustee's power to  
4 adjust between principal and income and conversion to unitrust.
- 5 ➔Section 122. KRS 386B.6-030 is amended to read as follows:
- 6 (1) While a trust is revocable:
- 7 **(a)** And, in the reasonable belief of the trustee, the settlor has capacity to revoke  
8 the trust, rights of the beneficiaries are subject to the control of, and the duties  
9 of the trustee are owed exclusively to, the settlor; **and**
- 10 **(b) The trustee may follow a direction of the settlor that is contrary to the terms**  
11 **of the trust.**
- 12 (2) During the period the power may be exercised, the holder of a power of withdrawal  
13 has the rights of a settlor of a revocable trust under this section to the extent of the  
14 property subject to the power.
- 15 ➔Section 123. KRS 386B.7-030 is amended to read as follows:
- 16 (1) Cotrustees who are unable to reach a unanimous decision may act by majority  
17 decision.
- 18 (2) If a vacancy occurs in a cotrusteeship, the remaining cotrustees may act for the  
19 trust.
- 20 (3) **Subject to Section 82 of this Act,** a cotrustee shall participate in the performance of  
21 a trustee's function unless the cotrustee is unavailable to perform the function  
22 because of absence, illness, disqualification under other law, or other temporary  
23 incapacity or the cotrustee has properly delegated the performance of the function  
24 to another trustee.
- 25 (4) If a cotrustee is unavailable to perform duties because of absence, illness,  
26 disqualification under other law, or other temporary incapacity, and prompt action  
27 is necessary to achieve the purposes of the trust or to avoid injury to the trust

1 property, the remaining cotrustee or a majority of the remaining cotrustees may act  
2 for the trust.

3 (5) A trustee may not delegate to a cotrustee the performance of a function the settlor  
4 reasonably expected the trustees to perform jointly. Unless a delegation was  
5 irrevocable, a trustee may revoke a delegation previously made.

6 (6) Except as otherwise provided in subsection (7) of this section, a trustee who does  
7 not join in an action of another trustee is not liable for the action.

8 (7) **Subject to Section 82 of this Act,** each trustee shall exercise reasonable care to:

9 (a) Prevent a cotrustee from committing a breach of trust; and

10 (b) Compel a cotrustee to redress a breach of trust.

11 (8) A dissenting trustee who joins in an action at the direction of the majority of the  
12 trustees and who notified any cotrustee of the dissent at or before the time of the  
13 action is not liable for the action unless the action is a breach of trust.

14 ➔Section 124. KRS 386B.8-180 is amended to read as follows:

15 (1) (a) When a trust terminates pursuant to the terms of the trust, the trustee may  
16 follow the requirements for distribution upon termination as provided in KRS  
17 386B.8-170 or, if proceeding under this section, within a reasonable amount  
18 of time after such termination, the trustee shall provide to the qualified  
19 beneficiaries a statement showing the fair market value of the net assets to be  
20 distributed, a trust accounting for the prior five (5) years and an estimate for  
21 any items reasonably anticipated but not yet received or disbursed, the amount  
22 of any fees, including trustee fees, remaining to be paid, and notice that the  
23 trust is terminating. The trustee may also provide such statement and notice to  
24 any other person whom the trustee reasonably believes may have an interest in  
25 the trust.

26 (b) If, after receiving the notice and trust information described in paragraph (a)  
27 of this subsection, a qualified beneficiary objects to an action or omission

1 disclosed, he or she shall provide written notice of the objection to the trustee  
2 within forty-five (45) days of the notice having been sent by the trustee. If no  
3 written objection is provided within the forty-five (45) day time period, the  
4 information provided pursuant to paragraph (a) of this subsection shall be  
5 considered approved by the recipient and the trustee shall, within a reasonable  
6 period of time following the expiration of such period, distribute the assets as  
7 provided in the trust. If the trustee receives a written objection within the  
8 applicable forty-five (45) day time period, the trustee may:

- 9 1. Submit the written objection to the District Court for resolution and  
10 charge the expense of commencing such a proceeding to the trust; or
- 11 2. Resolve the objection with the qualified beneficiary, whether by  
12 nonjudicial settlement agreement or otherwise. Any agreement entered  
13 into pursuant to this paragraph may include a release, an indemnity  
14 clause, or both on the part of the beneficiary against the trustee relating  
15 to the trust. If the parties agree to a nonjudicial settlement agreement,  
16 any related expenses shall be charged to the trust.

17 Upon a resolution of an objection pursuant to subparagraph 1. or 2. of this  
18 paragraph, within a reasonable period of time thereafter the trustee shall  
19 distribute the remaining trust assets as provided in the trust.

20 (c) The trustee may rely upon the written statement of a person receiving notice  
21 that such person does not object.

- 22 (2) (a) When a trustee is removed or resigns pursuant to the terms of the trust, the  
23 trustee may follow the requirements for distribution upon termination as  
24 provided in KRS 386B.8-170 or, if proceeding under this section, the trustee,  
25 within a reasonable time after such removal or resignation, shall provide to  
26 the successor trustee a statement showing the net assets to be distributed, a  
27 trust accounting for the prior five (5) years, an estimate for any items



1 reasonably anticipated but not yet received or disbursed, the amount of any  
2 fees, including trustee fees, remaining to be paid, and notice that the trustee  
3 has resigned or been removed. The trustee may also provide such statement  
4 and notice to any other person whom trustee reasonably believes may have an  
5 interest in the trust.

6 (b) Any person provided notice and trust information as described in paragraph  
7 (a) of this subsection who objects to an action or omission disclosed shall  
8 provide written notice of the objection to the trustee within forty-five (45)  
9 days of the notice having been sent by the trustee. If no written objection is  
10 provided within the forty-five (45) day time period, the information provided  
11 pursuant to paragraph (a) of this subsection will be considered approved, and  
12 the trustee shall, within a reasonable period following the expiration of such  
13 forty-five (45) day period, distribute the assets to the successor trustee. If the  
14 trustee receives a written objection within the applicable forty-five (45) day  
15 time period, the trustee may:

- 16 1. Submit the written objection to the District Court for resolution and  
17 charge the expense of commencing such a proceeding to the trust; or
- 18 2. Resolve the objection with the opposing party, whether by nonjudicial  
19 settlement agreement or otherwise. Any agreement entered into pursuant  
20 to this paragraph may include a release, an indemnity clause, or both on  
21 the part of the opposing party against the trustee relating to the trust. If  
22 the parties agree to a nonjudicial settlement agreement, any related  
23 expenses shall be charged to the trust.

24 Upon a resolution of any objection raised by an opposing party pursuant to  
25 subparagraph 1. or 2. of this paragraph, within a reasonable period of time  
26 thereafter the trustee shall distribute the remaining trust assets as provided in  
27 the trust.

1 (c) The trustee may rely upon the written statement of a person receiving notice  
2 that such person does not object.

3 (3) When a trustee distributes assets of the trust pursuant to subsection (1) or (2) of this  
4 section, the limitations in KRS 386B.6-040 and 386B.10-050 are waived by each  
5 person who received notice and either consented or failed to object pursuant to this  
6 section, and any such person is barred from bringing a claim against the trustee for  
7 breach of trust or challenging the validity of the trust, to the same extent and with  
8 the same preclusive effect as if the court had entered a final order approving the  
9 trustee's final account.

10 (4) Notice provided under subsection (1) or (2) of this section shall clearly warn of the  
11 impending bar of claims against a trustee under KRS 386B.6-040 and 386B.10-050  
12 that will result if an objection is not timely made.

13 (5) No trustee trust shall request that any beneficiary indemnify the trustee against loss  
14 in exchange for the trustee forgoing a request to the court to approve its accounts at  
15 the time the trust terminates or at the time the trustee is removed or resigns, except  
16 as agreed upon by the parties pursuant to paragraph (b)1. or 2. of subsections (1)  
17 and (2) of this section.

18 (6) **For purposes of this section, a termination of a trust under KRS 389B.4-140 shall**  
19 **be considered a termination pursuant to the trust terms.**

20 **(7)** The District Court shall have exclusive jurisdiction over matters under this section.

21 ➔Section 125. KRS 394.010 is amended to read as follows:

22 As used in this chapter, unless the context requires otherwise, "will":

23 **(1)** Means a last will or testament, codicil, appointment by will, writing in the nature of  
24 a will in exercise of a power, and any other testamentary disposition; **and**

25 **(2) Includes a codicil and any testamentary instrument that merely appoints an**  
26 **executor, revokes or revises another will, nominates a guardian, or expressly**  
27 **excludes or limits the right of an individual or class to succeed to property of the**

1 decedent passing by intestate succession.

2 ➔SECTION 126. A NEW SECTION OF KRS CHAPTER 186A IS CREATED  
3 TO READ AS FOLLOWS:

4 (1) As used in this section:

5 (a) "Beneficiary" means a person designated to receive title to a vehicle upon  
6 the death of the preceding owner or joint owners;

7 (b) "Beneficiary designation form" means a form that contains the intention of  
8 a present owner or joint owners of a vehicle to transfer ownership of the  
9 vehicle to one (1) named beneficiary upon the death of the owner or last  
10 surviving joint owner of the vehicle;

11 (c) "Joint owner" means:

12 1. An individual who owns a vehicle with one (1) or more other  
13 individuals as joint tenants with rights of survivorship; and

14 2. "Joint owner" does not include an individual who owns a vehicle with  
15 one (1) or more other individuals as tenants in common;

16 (d) "Owner" means an individual who owns a vehicle; and

17 (e) "Vehicle" includes any motor vehicle, motorcycle, motor home, trailer, or  
18 other item for which a certificate of title is issued by the cabinet.

19 (2) The cabinet shall provide a beneficiary designation form that allows the owner or  
20 joint owners of a vehicle to provide for the transfer of the vehicle's title to one (1)  
21 named beneficiary upon the death of the owner or upon the death of all joint  
22 owners of the vehicle. The form shall include but not be limited to fields for the  
23 following information:

24 (a) The manufacturer, model, year, and vehicle identification number of the  
25 vehicle;

26 (b) The name of the owner or every joint owner of the vehicle;

27 (c) The words "transfer on death to," or the abbreviation "TOD," followed by

1           the name of the beneficiary; and

2           (d) The signature of the owner of the vehicle or of each joint owner of the  
3           vehicle.

4           (3) The cabinet shall make beneficiary forms available:

5           (a) In each county clerk's office; and

6           (b) On the cabinet's public website.

7           (4) Upon the death of the owner, or the last surviving joint owner, of a vehicle for  
8           which a beneficiary designation form has been properly executed under  
9           subsection (2) of this section, the beneficiary shall present the form to the county  
10           clerk and request a new title of ownership of the vehicle in the beneficiary's  
11           name. The form shall be accompanied by:

12           (a) A death certificate of the owner or last surviving joint owner of the vehicle;

13           (b) Proof of payment of ad valorem taxes on the vehicle for the current year. If  
14           the taxes have not been paid, the beneficiary may elect to pay the taxes to  
15           facilitate the transfer; and

16           (c) The fee for the certificate of title transfer.

17           (5) Upon presentation of a properly executed beneficiary designation form and  
18           accompanying documents as required under subsection (4) of this section, the  
19           county clerk, subject to any security interest in the vehicle, shall issue a new  
20           certificate of title to the beneficiary.

21           (6) During the lifetime of the owner of the vehicle for which a beneficiary  
22           designation form has been properly executed or before the death of the last  
23           surviving joint owner of the vehicle:

24           (a) The signature or consent of the beneficiary shall not be required for any  
25           transaction relating to the vehicle; and

26           (b) The owner or surviving joint owners of the vehicle may revoke the  
27           beneficiary designation form or change the beneficiary on the beneficiary

1           designation form at any time by:

2           1. Selling the vehicle with proper transfer and delivery of the certificate  
3           of title to another person; or

4           2. Properly executing a subsequent beneficiary designation form that  
5           designates a new beneficiary.

6   (7) Upon the death of the owner or the last surviving joint owner of a vehicle for  
7   which a beneficiary designation form has been properly executed, the interest of  
8   the beneficiary in the vehicle shall be subject to any contract of sale, assignment,  
9   or ownership or security interest to which the owner or joint owners of the vehicle  
10   were subject during their lifetime.

11   (8) Except as provided in subsection (6)(b) of this section, the designation of a  
12   beneficiary in a beneficiary designation form shall not be changed or revoked by  
13   will or by other instrument.

14   (9) The transfer on death of a vehicle under this section shall be a nontestamentary  
15   transfer and shall not be subject to any tax under KRS 138.460.

16       ➔Section 127. KRS 138.470 is amended to read as follows:

17   There is expressly exempted from the tax imposed by KRS 138.460:

18   (1) (a) Motor vehicles titled or registered to the United States, or to the  
19       Commonwealth of Kentucky or any of its political subdivisions; and

20       (b) The gross rental or lease charges for the rental or lease of a motor vehicle paid  
21       by the United States, or the Commonwealth of Kentucky or any of its political  
22       subdivisions;

23   (2) Motor vehicles titled or registered to institutions of purely public charity and  
24       institutions of education not used or employed for gain by any person or  
25       corporation;

26   (3) Motor vehicles which have been previously titled in Kentucky on or after July 1,  
27       2005, or previously registered and titled in any state or by the federal government

- 1       when being sold or transferred to licensed motor vehicle dealers for resale. The  
2       motor vehicles shall not be leased, rented, or loaned to any person and shall be held  
3       for resale only;
- 4       (4) Motor vehicles sold by or transferred from dealers registered and licensed in  
5       compliance with the provisions of KRS 186.070 and KRS 190.010 to 190.080 to  
6       members of the Armed Forces on duty in this Commonwealth under orders from  
7       the United States government;
- 8       (5) Commercial motor vehicles, excluding passenger vehicles having a seating capacity  
9       for nine (9) persons or less, owned by nonresident owners and used primarily in  
10      interstate commerce and based in a state other than Kentucky which are required to  
11      be registered in Kentucky by reason of operational requirements or fleet proration  
12      agreements and are registered pursuant to KRS 186.145;
- 13      (6) Motor vehicles titled in Kentucky on or after July 1, 2005, or previously registered  
14      in Kentucky, transferred between husband and wife, parent and child, stepparent  
15      and stepchild, or grandparent and grandchild;
- 16      (7) Motor vehicles transferred when a business changes its name and no other  
17      transaction has taken place or an individual changes his or her name;
- 18      (8) Motor vehicles transferred to a corporation from a proprietorship or limited liability  
19      company, to a limited liability company from a corporation or proprietorship, or  
20      from a corporation or limited liability company to a proprietorship, within six (6)  
21      months from the time that the business is incorporated, organized, or dissolved, if  
22      the transferor and the transferee are the same business entity except for a change in  
23      legal form;
- 24      (9) Motor vehicles transferred by will, court order, or under the statutes covering  
25      descent and distribution of property, if the vehicles were titled in Kentucky on or  
26      after July 1, 2005, or previously registered in Kentucky;
- 27      (10) Motor vehicles transferred between a subsidiary corporation and its parent

1 corporation if there is no consideration, or nominal consideration, or in sole  
2 consideration of the cancellation or surrender of stock;

3 (11) Motor vehicles transferred between a limited liability company and any of its  
4 members, if there is no consideration, or nominal consideration, or in sole  
5 consideration of the cancellation or surrender of stock;

6 (12) The interest of a partner in a motor vehicle when other interests are transferred to  
7 him or her;

8 (13) Motor vehicles repossessed by a secured party who has a security interest in effect  
9 at the time of repossession and a repossession affidavit as required by KRS  
10 186.045(6). The reposessor shall hold the vehicle for resale only and not for  
11 personal use, unless he or she has previously paid the motor vehicle usage tax on  
12 the vehicle;

13 (14) Motor vehicles transferred to an insurance company to settle a claim. These  
14 vehicles shall be junked or held for resale only;

15 (15) Motor carriers operating under a charter bus certificate issued by the Transportation  
16 Cabinet under KRS Chapter 281;

17 (16) (a) 1. Motor vehicles registered under KRS 186.050 that have a declared gross  
18 vehicle weight with any towed unit of forty-four thousand and one  
19 (44,001) pounds or greater; and

20 2. Farm trucks registered under KRS 186.050(4) that have a declared gross  
21 vehicle weight with any towed unit of forty-four thousand and one  
22 (44,001) pounds or greater.

23 (b) To be eligible for the exemption established in paragraph (a) of this  
24 subsection, motor vehicles shall be registered at the appropriate range for the  
25 declared gross weight of the vehicle established in KRS 186.050(3)(b) and  
26 shall be prohibited from registering at a higher weight range. If a motor  
27 vehicle is initially registered in one (1) declared gross weight range and

1 subsequently is registered at a declared gross weight range lower than forty-  
2 four thousand and one (44,001) pounds, the person registering the vehicle  
3 shall be required to pay the county clerk the usage tax due on the vehicle  
4 unless the person can provide written proof to the clerk that the tax has been  
5 previously paid;

6 (17) Motor vehicles transferred to a trustee to be held in trust, or from a trustee to a  
7 beneficiary of the trust, if a direct transfer from the grantor of the trust to all  
8 individual beneficiaries of the trust would have qualified for an exemption from the  
9 tax pursuant to subsection (6) or (9) of this section;

10 (18) Motor vehicles transferred to a trustee to be held in trust, if the grantor of the trust is  
11 a natural person and is treated as the owner of any portion of the trust for federal  
12 income tax purposes under the provisions of 26 U.S.C. secs. 671 to 679;

13 (19) Motor vehicles transferred from a trustee of a trust to another person if:

14 (a) The grantor of the trust is a natural person and is treated as the owner of any  
15 portion of the trust for federal income tax purposes under the provisions of 26  
16 U.S.C. secs. 671 to 679; and

17 (b) A direct transfer from the grantor of the trust to the person would have  
18 qualified for an exemption from the tax pursuant to subsection (6) or (9) of  
19 this section;~~and~~

20 (20) Motor vehicles under a manufacturer's statement of origin in possession of a  
21 licensed new motor vehicle dealer that are titled and transferred to a licensed used  
22 motor vehicle dealer and held for sale; and

23 **(21) Motor vehicles transferred under Section 126 of this Act.**

24 ➔Section 128. KRS 395.160 is amended to read as follows:

25 (1) If a personal representative moves out of the state and fails to designate a process  
26 agent as required by KRS 395.015~~[(1)]~~, becomes insane or otherwise incapable to  
27 discharge the trust, goes bankrupt or insolvent or is in failing circumstances, the



1 District Court shall remove him or her, and the other personal representative, if  
2 there is another, shall discharge the trust. If he or she resides in the county of his or  
3 her appointment or in an adjoining county, and is not insane, he or she shall have  
4 ten (10) days' notice before the order of removal is made. If he or she is insane, the  
5 notice shall be given to his or her committee, if he or her has one, and if there is no  
6 committee, the court may appoint one.

7 (2) The district court may remove a personal representative for failing to give  
8 additional security when required under KRS 62.060 and appoint another.

9 (3) The court shall require a personal representative who is removed to settle his  
10 accounts, and deliver over the decedent's estate to the person appointed in his stead.

11 ➔Section 129. Sections 32 to 40 of this Act may be cited as the Uniform  
12 Electronic Wills Act.

13 ➔Section 130. Sections 41 to 55 of this Act may be cited as the Uniform  
14 Electronic Estate Planning Documents Act.

15 ➔Section 131. Sections 61 to 71 of this Act may be cited as the Kentucky  
16 Qualified Dispositions in Trust Act.

17 ➔Section 132. Sections 72 to 88 of this Act may be cited as the Uniform Directed  
18 Trust Act.

19 ➔Section 133. Sections 89 to 116 of this Act may be cited as the Uniform Trust  
20 Decanting Act.

21 ➔Section 134. The following KRS sections are repealed:

22 395.635 Certification of list of fiduciaries delinquent in accounting -- Notice -- Fees.

23 386B.8-080 Powers to direct.

24 386.175 Trustee's power to appoint principal or income in favor of trustee of second  
25 trust -- Terms of second trust -- Special fiduciary -- Notice -- Judicial  
26 proceedings.